

COVER SHEET

SEC Registration Number

NATIONAL REINSURANCE
CORPORATION OF THE PHILIPPINES
(Company's Full Name)

31FBPIAIA MAKATI 6811
AYALA AVENUE MAKATI CITY
(Business Address: No., Street City / Town / Province)

Jacqueline Michelle Dy
Contact Person

(02) 8988-7400
Company Telephone Number

1 2 3 1
Month Day
Fiscal Year

SEC Form 17-Q
3rd Quarter ending September 30, 2025
FORM TYPE

4th Wednesday of June
Month Day
Annual Meeting

Secondary License Type, If Applicable

Dept Requiring this Doc

Total Amount of Borrowings

Total No. of Stockholders

Domestic Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

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SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATIONS ACT AND SRC RULE 17 (2) (b) THEREUNDER

1. For the quarter ended September 30, 2025
2. Commission identification Number 80118
3. BIR Tax Identification Number 000-480-869-000
4. **NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES** doing business
under the names and styles of Nat Re; Philippine National Reinsurance Company; PhilNaRe
Exact name of registrant as specified in its charter
5. PHILIPPINES
Province, country or other jurisdiction of incorporation or organization
6. Industry classification code (SEC Use Only)
7. 31st FLOOR, BPI AIA MAKATI, 6811 AYALA AVENUE MAKATI CITY, PHILIPPINES
1227
Address of registrant's principal office Postal Code
8. (632) 8988-7400
Registrant's telephone number, including area code
9. N/A
Former name, former address and former fiscal year, if changed since last report
10. Securities registered pursuant to Sections 4 and 8 of the RSA as at quarter ended:

<u>Title of Each Class</u>	<u>Number of Shares of Common Stock Outstanding</u>
Common	2,123,605,600
11. Are any or all of the securities listed on the Philippine Stock Exchange?
Yes ☒ No ☐
12. Indicate by check mark whether the registrant:
 - (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding 12 months (or for such shorter period the registrant was required to file such report);

Yes ☒ No ☐
 - (b) has been subject to such filing requirements for the past 90 days.

Yes ☒ No ☐

PART I. - FINANCIAL INFORMATION

Item 1. Financial Statements

The financial statements listed below and covering pages 14 to 85 of this report are filed as part of this Form 17-Q:

- a. Statements of Financial Position as at September 30, 2025 and December 31, 2024.
- b. Statements of Income:
 - i. For the nine-month ended September 30, 2025 and 2024.
 - ii. For the three-month ended September 30, 2025 and 2024.
- c. Statements of Comprehensive Income:
 - i. For the nine-month ended September 30, 2025 and 2024.
 - ii. For the three-month ended September 30, 2025 and 2024.
- d. Statements of Changes in Equity for the nine-month ended September 30, 2025 and 2024.
- e. Statements of Cash Flows:
 - i. For the nine-month ended September 30, 2025 and 2024.
 - ii. For the three-month ended September 30, 2025 and 2024.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

I. RESULTS OF OPERATIONS

a. For the nine-month ended September 30, 2025 and 2024

In Millions PHP	For the nine-month ended		Inc(dec)	
	September 30, 2025	September 30, 2024	Amount	%
REINSURANCE PREMIUM INCOME				
Reinsurance premiums – net of returns	P4,457.0	P4,266.0	P191.0	4%
Retroceded premiums	(972.8)	(1,135.9)	163.1	-14%
Net premiums retained	3,484.2	3,130.1	354.1	11%
Movement in premium reserves – net	(477.3)	(148.5)	(328.8)	221%
	3,006.9	2,981.6	25.3	1%
UNDERWRITING DEDUCTIONS				
Claims and claims reserves – net	(1,758.2)	(2,023.8)	265.6	-13%
Commissions – net	(554.9)	(591.9)	37.0	-6%
	(2,313.1)	(2,615.7)	302.6	-12%
Other underwriting (expense) income	(101.9)	26.3	(128.2)	-487%
NET UNDERWRITING INCOME	591.9	392.2	199.7	51%
INVESTMENT AND OTHER INCOME AND EXPENSES – net	475.6	380.0	95.6	25%
PROFIT AFTER INVESTMENT AND OTHER INCOME AND EXPENSES	1,067.5	772.2	295.3	38%
GENERAL AND ADMINISTRATIVE EXPENSES	(283.8)	(265.0)	(18.8)	7%
PROFIT BEFORE TAX	783.7	507.2	276.5	55%
TAX EXPENSE	(152.7)	(82.5)	(70.2)	85%
NET PROFIT	P631.0	P424.7	P206.3	49%

Underwriting Results

Net underwriting income amounted to P591.9 million in 2025, higher by P199.7 million or 51% than the same period of 2024. Higher net underwriting income in 2025 originated from the Non-life domestic business, partially negated by lower net underwriting income from the Life and the Non-life foreign businesses.

Better underwriting results from the Non-life domestic business in 2025 (compared to the net underwriting losses in 2024) resulted mainly from favorable claims development from past underwriting years and lower commission incurred as discussed in Claims and claims reserves – net and Commissions – net below.

Lower net underwriting income from the Life business in 2025 resulted mainly from other underwriting expense, unfavorable claims development for past underwriting years and higher experience refund, partially negated by higher premiums generated in 2025 as discussed below.

Net underwriting losses from the Non-life foreign business in 2025 (compared to the net underwriting income in 2024) resulted mainly from reversal of premiums related to Personal Cyber treaties and unfavorable claims development from past underwriting years, partially negated by the favorable adjustment in the sliding commission of an Agriculture treaty and favorable impact of foreign exchange rates to claims in 2025 as compared to unfavorable impact in 2024.

Reinsurance premium income

Reinsurance premium income amounted to P3,006.9 million, higher by P25.3 million than the same period of 2024. Higher reinsurance premium income resulted mainly from higher than expected premiums reported from the Group, a new foreign medical treaty and from the modified co-insurance arrangement under the Life business. These were partially negated by (1) Lower reinsurance premium income from the Agriculture treaties, the downward adjustment in premiums for a certain Fire and Aviation treaties, and the reversal of premiums for personal cyber treaties under the Non-life foreign business; (2) Lower net premiums retained from the Non-life domestic business; and (3) Higher experience refund from the Life business.

Claims and claims reserves – net

Claims and claims reserves – net amounted to P1,758.2 million, lower by P265.6 million than the same period of 2024 resulting to claims ratios of 58% in 2025 compared to 67% in 2024 (relative to earned premiums).

Lower claims ratio in 2025 is mainly due to favorable claims development from past underwriting years for Fire under the Non-life domestic business and favorable impact of foreign exchange rates to claims in 2025 as compared to unfavorable impact in 2024 under the Non-life foreign business. These were partially negated by higher unfavorable claims development from past underwriting years in Group under the Life business and from agriculture treaties under the Non-life foreign business.

Commissions – net

Commissions – net amounted to P554.9 million, lower by P37.0 million or 6% than the same period of 2024 resulting to commission ratios of 19% in 2025 and 20% in 2024 (relative to earned premiums).

Lower commission ratio resulted mainly from (1) Adjustment in the sliding commissions of an Agriculture treaty due to unfavorable claims development as discussed under Claims and claims reserves – net above and lower than expected commissions from a certain Fire treaty under the Non-life foreign business; and (2) Lower reported commissions in 2025 compared to 2024 under the Non-life domestic business. These were partially negated by higher than average acquisition costs incurred from a new foreign medical treaty under the Life business.

Other underwriting (expense) income amounted to an expense of P101.9 million in 2025, resulting from costs incurred under a group life treaty that participates in a pooling arrangement. In contrast, the income of P26.3 million in 2024 was attributable to benefits received from the same arrangement.

Investment and other income and expenses, net amounted to P475.6 million, higher by P95.6 million or 25% than the same period of 2024. This resulted mainly from (1) Gain on sale from available-for-sale financial assets in 2025 as compared to loss on sale in 2024; (2) Higher interest income from government securities; and (3) Lower foreign exchange losses recognized in 2025. These were partially negated by lower fair value gains from held-for-trading securities.

General and administrative expenses amounted to P283.8 million, higher by P18.8 million or 7% than the same period of 2024 resulting mainly from higher manpower costs.

Tax expense amounted to P152.7 million, higher by P70.2 million or 85% than the same period of 2024 resulting mainly from higher net underwriting income.

b. For the three-month ended September 30, 2025 and 2024

In Millions PHP	For the three-month ended		Inc(dec)	
	September 30, 2025	September 30, 2024	Amount	%
REINSURANCE PREMIUM INCOME				
Reinsurance premiums - net of returns	P1,167.8	P1,075.0	P92.8	9%
Retroceded premiums	(319.5)	(252.4)	(67.1)	27%
Net premiums retained	848.3	822.6	25.7	3%
Movement in premium reserves – net	(29.4)	(2.6)	(26.8)	1031%
	818.9	820.0	(1.1)	0%
UNDERWRITING DEDUCTIONS				
Claims and claims reserves – net	(363.8)	(568.4)	204.6	-36%
Commissions – net	(164.0)	(162.9)	(1.1)	1%
	(527.8)	(731.3)	203.5	-28%
NET UNDERWRITING INCOME	291.1	88.7	202.4	228%
INVESTMENT AND OTHER INCOME AND EXPENSES – net	157.1	14.0	143.1	1022%
PROFIT AFTER INVESTMENT AND OTHER INCOME AND EXPENSES	448.2	102.7	345.5	336%
GENERAL AND ADMINISTRATIVE EXPENSES	(92.6)	(82.9)	(9.7)	12%
PROFIT BEFORE TAX	355.6	19.8	335.8	1696%
TAX EXPENSE	(77.3)	(9.1)	(68.2)	749%
NET PROFIT	P278.3	P10.7	P267.6	2501%

Underwriting Results

Net underwriting income amounted to P291.1 million for the third quarter of 2025, higher by P202.4 million or 228% than the same period of 2024. Higher net underwriting income in 2025 originated from the Non-life and Life businesses, partially negated by lower underwriting income from the Non-life foreign business.

Higher net underwriting income from the Non-life domestic and Life businesses resulted mainly from favorable claims development from past underwriting years, partially negated by the absence of unexpired risk reserves released during the period. While the lower net underwriting income from the Non-life foreign business resulted mainly from the unfavorable claims development from past underwriting years and unfavorable impact of foreign exchange rates to claims in 2025 as compared to favorable impact in 2024.

Reinsurance premium income

Reinsurance premium income amounted to P818.9 million, lower by P1.1 million than the third quarter of 2024.

Lower reinsurance premium income resulted mainly from the following: (1) Downward adjustment in premiums for Fire and Aviation treaties and lower premiums generated from the Agriculture treaties under the Non-life foreign business; and (2) Absence of unexpired risk reserves released during the period from the Non-life domestic business. These were partially negated by higher premiums generated from a new foreign medical treaty and from the modified co-insurance arrangements under the Life business.

Claims and claims reserves – net

Claims and claims reserves – net amounted to P363.8 million, lower by P204.6 million than the third quarter of 2024 resulting to claims ratios of 44% in 2025 versus 69% in 2024 (relative to earned premiums).

Lower claims ratio in 2025 resulted mainly from the favorable claims development from past underwriting years for Fire under the Non-life domestic business and Individual under the Life business. This was partially negated by the unfavorable claims development for past underwriting years and unfavorable impact of foreign exchange rates to claims in 2025 as compared to favorable impact in 2024 under the Non-life foreign business.

Investment and other income and expenses – net amounted to P157.1 million, higher by P143.1 million than the third quarter of 2024.

This resulted mainly from (1) Foreign exchanges gains recognized in 2025 (compared to losses in 2024); and (2) Higher interest income from government securities. These were partially negated by lower fair value gains from held-for-trading securities.

General and administrative expenses amounted to P92.6 million, higher by P9.7 million or 12% than the third quarter of 2024 resulting mainly from higher manpower costs.

Tax expense amounted to P77.3 million, higher by P68.2 million than the third quarter of 2024 resulting mainly from higher net underwriting income for the current period.

II. FINANCIAL CONDITIONS

In Millions PHP	Unaudited	Audited	Inc(dec)	
	September 30, 2025	December 31, 2024	Amount	%
CASH AND CASH EQUIVALENTS	P723.8	P449.7	P274.1	61%
REINSURANCE BALANCES RECEIVABLE – net	5,958.5	5,379.9	578.6	11%
HELD-FOR-TRADING (HFT) SECURITIES	855.2	448.0	407.2	91%
AVAILABLE-FOR-SALE (AFS) FINANCIAL ASSETS	5,700.1	5,279.7	420.4	8%
HELD-TO-MATURITY (HTM) SECURITIES	3,954.2	4,024.5	(70.3)	-2%
LOANS AND RECEIVABLES	112.1	127.6	(15.5)	-12%
PROPERTY AND EQUIPMENT – net	31.4	38.2	(6.8)	-18%
REINSURANCE RECOVERABLE ON REPORTED CLAIMS AND CLAIMS RESERVES – net	2,942.2	2,847.5	94.7	3%
DEFERRED ACQUISITION COSTS	1,211.9	1,096.6	115.3	11%
DEFERRED REINSURANCE PREMIUMS	656.6	647.7	8.9	1%
DEFERRED TAX ASSETS – net	507.1	582.3	(75.2)	-13%
OTHER ASSETS – net	143.7	116.1	27.6	24%
TOTAL ASSETS	P22,796.8	P21,037.8	P1,759.0	8%
<u>LIABILITIES AND EQUITY</u>				
REINSURANCE BALANCES PAYABLE	P2,090.2	P2,089.9	P0.3	0%
FORWARD LIABILITY	64.4	0.2	64.2	32100%
ACCOUNTS PAYABLE AND ACCRUED EXPENSES	404.9	387.9	17.0	4%
CLAIMS AND CLAIMS RESERVES	10,369.2	9,832.4	536.8	5%
PREMIUM RESERVES	2,346.8	1,860.6	486.2	26%
DEFERRED REINSURANCE COMMISSIONS	8.8	2.3	6.5	283%
TOTAL LIABILITIES	15,284.3	14,173.3	1111.0	8%
EQUITY	7,512.5	6,864.5	648.0	9%
TOTAL LIABILITIES AND EQUITY	P22,796.8	P21,037.8	P1,759.0	8%

Cash and cash equivalents amounting to P723.8 million as at September 30, 2025 increased by P274.1 million or 61% from the balance as at December 31, 2024 of P449.7 million. The increase in the balance resulted mainly from the collection of reinsurance balances receivable and interest from fixed-income securities during the period, partially negated by the settlement of claims, income taxes and net acquisition of AFS financial assets and HFT securities (acquisitions net of disposals).

Reinsurance balance receivable – net amounting to P5,958.5 million as at September 30, 2025 increased by P578.6 million or 11% from the balance as at December 31, 2024 of P5,379.9 million. The increase in the balance resulted mainly from the accrual of reinsurance premiums, net of commissions from the Non-life foreign and Life businesses, partially negated by collections during the period.

Held-for-trading (HFT) securities amounting to P855.2 million as at September 30, 2025 increased by P407.2 million or 91% from the balance as at December 31, 2024 of P448.0 million. The movement in the account balance can be explained by the following:

	2025	2024
Balance at beginning of period	P448.0	P532.7
Acquisitions	2,748.8	3,251.9
Disposals	(2,383.3)	(3,344.3)
Changes in fair value	35.2	6.8
Unrealized foreign currency gains	6.5	0.9
Balance at end of period	P855.2	P448.0

The increase in the balance resulted mainly from the net acquisitions amounting to P365.5 million (acquisitions net of disposals) and favorable changes in fair values.

Available-for-sale (AFS) financial assets amounting to P5,700.1 million as at September 30, 2025 increased by P420.4 million or 8% from the balance as at December 31, 2024 of P5,279.7 million. The movement in the account balance can be explained by the following:

	2025	2024
Cost		
Balance at beginning of period	P5,248.7	P5,318.0
Acquisitions	2,096.9	2,144.3
Disposals/maturities	(1,679.7)	(2,216.2)
Impairment losses	–	(22.2)
Unrealized foreign currency (losses) gains	(3.4)	24.8
	5,662.5	5,248.7
Fair value adjustment		
Balance at beginning of period	31.0	(17.8)
Changes in fair value	35.0	2.6
Fair value (gains) losses on disposal	(28.4)	24.0
Impairment losses	–	22.2
	37.6	31.0
Balance at end of period	P5,700.1	P5,279.7

The increase in the balance resulted mainly from the net acquisitions of fixed income and equity securities amounting to P417.2 million.

Loans and receivables amounting to P112.1 million as at September 30, 2025 decreased by P15.5 million or 12% from the balance as at December 31, 2024 of P127.6 million. The decrease in the balance resulted mainly from the collection of receivables during the period.

Deferred acquisition costs amounting to P1,211.9 million increased by P115.3 million or 11% from the balance as at December 31, 2024 of P1,096.6 million. The increase in balance resulted mainly from the deferred acquisition costs recognized from the Life modified co-insurance and Non-life foreign businesses.

Deferred tax assets – net amounting to P507.1 million as at September 30, 2025 decreased by P75.2 million or 13% from the balance as at December 31, 2024 of P582.3 million. The decrease in the balance resulted mainly from the higher reported losses during the period.

Other assets – net amounting to P143.7 million as at September 30, 2025 increased by P27.6 million or 24% from the balance as at December 31, 2024 of P116.1 million. The increase in the balance mainly pertains to the acquisition of system solution for the adoption of PFRS 17 in 2027.

Forward liability amounting to P64.4 million as at September 30, 2025 increased by P64.2 million from the balance as at December 31, 2024 of P0.2 million. This was mainly driven by a deliverable forward contract entered into by the Company during the period.

Claims and Claims reserves amounting to P10,369.2 million increased by P536.8 million or 5% from the balance as at December 31, 2024 of P9,832.4 million. The increase in the balance resulted mainly from claims incurred during the period (as discussed above in Claims and claims reserves – net under results of operations) net of the related settlements.

Premium reserves amounting to P2,346.8 million increased by P486.2 million or 26% from the balance as at December 31, 2024 of P1,860.6 million. The increase in the balance resulted mainly from premium reserves for (1) Group and a new foreign medical treaty under the Life business; (2) Agriculture under the Non-life foreign business; and (3) Fire under the Non-life domestic business.

III. KEY PERFORMANCE INDICATORS:

	For the nine-month ended September, 30, 2025	For the nine-month ended September 30, 2024	% Inc.(Dec.)
1. Net profit	P631.0 million	P424.7 million	49%
2. Earnings Per Share (EPS) ^a	P0.297	P0.200	49%
3. Retention Ratio ^b	78%	73%	7%
4. Combined Ratio ^c	90%	96%	-6%
5. Return on Average Equity (ROE)	8.8%	6.5%	35%

(a) Net income divided by weighted average number of shares issued.

(b) Net premium written (NPW) divided by gross premiums written (GPW).

(c) Sum of following:

	2025	2024
Loss Ratio	62%	67%
Commission Ratio	19%	20%
Expense Ratio	9%	9%
Total	90%	96%

IV. FINANCIAL SOUNDNESS INDICATORS

	As at September 30, 2025	As at Dec. 31, 2024
Current Ratio	2.15 : 1.00	2.14 : 1.00
Asset to Equity Ratio	3.03 : 1.00	3.06 : 1.00
Total Liabilities/Equity	2.03 : 1.00	2.06 : 1.00

V. MATERIAL EVENT/S AND UNCERTAINTIES:

Other than the disclosure described in the preceding sections, the Company has nothing to report on the following:

1. Any known trends, demands, commitments, events or uncertainties that will have a material impact on its liquidity.
2. Events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation.
3. Material off balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.
4. Any material commitments for capital expenditures.
5. Any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues/income from continuing operations.
6. Any significant elements of income or loss that did not arise from the issuer's continuing operations.
7. Any seasonal aspects that had a material effect on the financial condition or results of operations.

VI. FINANCIAL RISK DISCLOSURE

The Company's investments are regulated under the pertinent provisions of the Amended Insurance Code, also known as Republic Act (R.A.) 10607. This law authorizes the Commission to issue rulings and circular letters as may be deemed necessary to ensure the efficient regulation of the insurance industry.

In its recent Circular letter dated April 8, 2025, entitled "Omnibus Guidelines on Investments", the IC provides that all "Insurance Commission Regulated Entities" ("ICREs") must comply with the rules outlined in the circular in relation to all investment activities. Further, the Company is required to submit a monthly report to the IC detailing all investments made and sold in the previous month. The IC reviews these reports and may require the immediate sale or disposal of any investment found to be too risky.

A portion of the Company's funds is invested in equities. Under Section 207 of the Amended Insurance Code, insurance companies may invest in listed equities of other financial institutions without the need of prior approval from the Commissioner. Beyond the provisions of the Amended Insurance Code, the Company, through its Investment Committee, has established additional guidelines to manage the risk inherent in equity investments. The Company's own investment policy requires that the Company invest only in shares of common stock of companies that are listed on the Philippine Stock Exchange (PSE). These companies must have profitable business operations and market capitalization sufficient to qualify them as blue chips stocks.

The Company also invests in fixed income securities, and actively manages interest rate risks by monitoring the duration and average maturity of its fixed income portfolio. Asset-liability duration mismatches are evaluated based on the team's outlook on interest rates relative to the duration of the Company's liabilities. The fixed income portfolio is structured to ensure that maturity profiles align with projected funding needs. Moreover, investments are limited only to securities issued by entities of strong creditworthiness and to instruments that have active secondary markets, enabling transparent valuation and liquidity when needed.

A certain portion of the Company's investments is invested in foreign currency-denominated assets, particularly the U.S. dollars. These investments are monitored closely and invested in dollar-denominated obligations backed by the full faith and credit of the Republic of the Philippines (ROP's), as well as in bonds issued by local corporates with strong credit ratings. All foreign currency denominated investments are reported to the BSP on a monthly basis for regular monitoring.

VII. OTHER DISCLOSURE

Pursuant to SEC Memorandum Circular No. 8 (Series of 2016) provides guidance to non-bank financial institutions that are covered by Foreign Account Tax Compliance Act (FATCA) regulations, the Company is still evaluating/assessing the potential effects of FATCA to its business. Based on the regulation, the Company is a 'Non-financial foreign Entity' (NFFE) may either be an "exempt NFFE" or "non-exempt NFFE". Under the regulations also, excepted NFFEs such as publicly traded corporations are generally exempt from withholding tax as required by FATCA if a proper FATCA certification is provided to the payor.

The Bureau of Internal Revenue (BIR) advised all concerned Philippine Financial Institutions to take necessary steps to prepare for full implementation of the Inter-Governmental Agreement (IGA) on FATCA between the Philippines and the United States of America was signed on July 13, 2015. On December 01, 2016 President Duterte ratified the FATCA agreement and its transmitted to the Senate on December 06, 2016 for concurrence.

PART II. – OTHER INFORMATION

No other material information.

**NATIONAL REINSURANCE CORPORATION
OF THE PHILIPPINES**
(Registrant)

(original signed)
SANTINO U. SONTILLANO
Vice President & Head of Finance

(original signed)
ALLAN R. SANTOS
President & Chief Executive Officer

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF FINANCIAL POSITION

September 30, 2025 and December 31, 2024

(Amounts in thousands)

	<i>Notes</i>	September 30, 2025	December 31, 2024
ASSETS			
Cash and cash equivalents	4	P723,822	P449,739
Reinsurance balances receivable – net	5	5,958,523	5,379,932
Held-for-trading (HFT) securities	6	855,249	447,958
Available-for-sale (AFS) financial assets	7	5,700,141	5,279,741
Held-to-maturity (HTM) securities	8	3,954,235	4,024,499
Loans and receivables	9	112,053	127,614
Property and equipment – net	10	31,361	38,241
Reinsurance recoverable on reported claims and claims reserves – net	11	2,942,197	2,847,452
Deferred acquisition costs	12	1,211,850	1,096,624
Deferred reinsurance premiums	13	656,613	647,670
Deferred tax assets – net		507,103	582,255
Other assets – net	14	143,652	116,053
TOTAL ASSETS		P22,796,799	P21,037,778
LIABILITIES AND EQUITY			
Liabilities			
Reinsurance balances payable	15	P2,090,192	P2,089,847
Forward liability	6	64,438	207
Accounts payable and accrued expenses	16	404,898	387,884
Claims and claims reserves	17	10,369,107	9,832,401
Premium reserves	18	2,346,911	1,860,645
Deferred reinsurance commissions	19	8,738	2,321
Total Liabilities		15,284,284	14,173,305
Equity	23	7,512,515	6,864,473
TOTAL LIABILITIES AND EQUITY		P22,796,799	P21,037,778

See Notes to the Financial Statements

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF INCOME

For the nine months ended September 30, 2025 and 2024

(Amounts in thousands, except Earnings Per Share)

	<i>Notes</i>	September 30, 2025	September 30, 2024
Reinsurance premium income			
Reinsurance premiums – net of returns	18	P4,457,007	P4,266,023
Retroceded premiums	13	(972,818)	(1,135,872)
Net premiums retained		3,484,189	3,130,151
Movement in premium reserves – net	13, 18	(477,323)	(148,543)
		3,006,866	2,981,608
Underwriting deductions			
Claims and claims reserves – net	21.1, 21.2	1,758,200	2,023,770
Commissions – net	21.3	554,884	591,883
		2,313,084	2,615,653
Other underwriting (expense) income		(101,852)	26,342
Net underwriting income		591,930	392,297
Investment and other income and expenses – net	20	475,568	379,985
Profit after investment and other income and expenses		1,067,498	772,282
General and administrative expenses	22	283,808	265,042
Profit before tax		783,690	507,240
Tax expense		152,671	82,517
Net profit		P631,019	P424,723
Earnings per share – basic and diluted	26	P0.297	P0.200

See Notes to the Financial Statements.

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF INCOME

For the three months ended September 30, 2025 and 2024

(Amounts in thousands, except Earnings Per Share)

	<i>Notes</i>	September 30, 2025	September 30, 2024
Reinsurance premium income			
Reinsurance premiums – net of returns	<i>18</i>	P1,167,824	P1,075,007
Retroceded premiums	<i>13</i>	(319,509)	(252,307)
Net premiums retained		848,315	822,700
Movement in premium reserves – net	<i>13, 18</i>	(29,516)	(2,640)
		818,799	820,060
Underwriting deductions			
Claims and claims reserves – net	<i>21.1, 21.2</i>	363,761	568,390
Commissions – net	<i>21.3</i>	163,980	162,859
		527,741	731,249
Net underwriting income		291,058	88,811
Investment and other income and expenses – net	<i>20</i>	157,076	13,991
Profit after investment and other income and expenses		448,134	102,802
General and administrative expenses	<i>22</i>	92,554	82,938
Profit before tax		355,580	19,864
Tax expense		77,225	9,164
Net profit		P278,355	P10,700
Earnings per share – basic and diluted	<i>26</i>	P0.131	P0.005

See Notes to the Financial Statements.

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF COMPREHENSIVE INCOME

For the nine months ended September 30, 2025 and 2024

(Amounts in thousands)

	<i>Notes</i>	September 30, 2025	September 30, 2024
Net profit		P631,019	P424,723
Other comprehensive income			
Items that are and will be reclassified subsequently to profit or loss			
Fair value gains on AFS financial assets during the period	7	34,985	116,595
Amortization of unrealized gains on reclassified HTM securities to profit or loss		10,416	11,082
Fair value (gains) losses on disposal of AFS financial assets reclassified to profit or loss	7, 20	(28,369)	22,552
Income tax effect		(9)	(642)
Total other comprehensive income		17,023	149,587
Total comprehensive income		P648,042	P574,310

See Notes to the Financial Statements.

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF COMPREHENSIVE INCOME

For the three months ended September 30, 2025 and 2024

(Amounts in thousands)

	<i>Notes</i>	September 30, 2025	September 30, 2024
Net profit		P278,355	P10,700
Other comprehensive income			
Items that are and will be reclassified subsequently to profit or loss			
Fair value gains on AFS financial assets during the period	7	11,514	156,047
Amortization of unrealized gains on reclassified HTM securities to profit or loss		2,861	3,749
Fair value losses on disposal of AFS financial assets reclassified to profit or loss	7, 20	198	5,880
Income tax effect		(82)	(512)
Total other comprehensive income		14,491	165,164
Total comprehensive income		P292,846	P175,864

See Notes to the Financial Statements.

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF CHANGES IN EQUITY

For the periods ended September 30, 2025 and 2024

(Amounts in thousands)

	Capital Stock		Additional Paid-in Capital (Note 23)	Treasury Shares at Cost (Note 23)	Revaluation Reserves			Retained Earnings		Total Equity
	No. of shares (in thousands)	Amount (Note 23)			AFS Financial Assets	HTM Securities	Defined Benefit Liability	Appropriated	Unappropriated	
Balance at January 1, 2025	2,181,955	P2,181,955	P3,019,218	(P100,525)	P28,074	(P13,285)	(P60,036)	P183,889	P1,625,183	P6,864,473
Net profit	–	–	–	–	–	–	–	–	631,019	631,019
Other comprehensive income: Item that are and will be reclassified subsequently to profit or loss	–	–	–	–	6,607	10,416	–	–	–	17,023
Total comprehensive income	–	–	–	–	6,607	10,416	–	–	631,019	648,042
Balance at September 30, 2025	2,181,955	P2,181,955	P3,019,218	(P100,525)	P34,681	(P2,869)	(P60,036)	P183,889	P2,256,202	P7,512,515
Balance at January 1, 2024	2,181,955	P2,181,955	P3,019,218	(P100,525)	(P19,943)	(P28,136)	(P57,270)	P128,755	P1,128,973	P6,253,027
Net profit	–	–	–	–	–	–	–	–	424,723	424,723
Other comprehensive income: Item that are and will be reclassified subsequently to profit or loss	–	–	–	–	138,505	11,082	–	–	–	149,587
Total comprehensive income	–	–	–	–	138,505	11,082	–	–	424,723	574,310
Balance at September 30, 2024	2,181,955	P2,181,955	P3,019,218	(P100,525)	P118,562	(P17,054)	(P57,270)	P128,755	P1,553,696	P6,827,337

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF CASH FLOWS

For the nine months ended September 30, 2025 and 2024

(Amounts in thousands)

	<i>Notes</i>	September 30, 2025	September 30, 2024
CASH FLOWS FROM			
OPERATING ACTIVITIES			
Profit before tax		P783,690	P507,240
Adjustments for:			
Movement in premium reserves – net	<i>13, 18</i>	477,323	148,543
Movement in claims and claims reserves – net	<i>11, 17</i>	751,112	313,176
Commissions – net	<i>12, 19</i>	(108,809)	(371,746)
Interest income	<i>20</i>	(395,858)	(358,326)
Fair value gains on HFT securities	<i>6, 20</i>	(35,173)	(33,066)
(Gain) loss on sale of AFS financial assets	<i>7, 20</i>	(28,369)	22,552
Dividend income	<i>20</i>	(20,531)	(20,546)
Unrealized losses from forward contract		7,991	1,967
Unrealized foreign currency losses		7,206	49,313
Movement in deposit liability	<i>16, 20</i>	573	1,551
Depreciation and amortization	<i>22</i>	7,929	8,291
Operating income before working capital changes		1,447,084	268,949
Decrease (increase) in:			
Reinsurance balances receivable – net		(617,746)	(158,551)
HFT securities		(365,533)	(93,603)
Loans and receivables		12,612	7,808
Reinsurance recoverable on reported claims and claims reserves – net		7,387	321,374
Other assets – net		(1,584)	(20,020)
Increase (decrease) in:			
Reinsurance balances payable		(851)	(244,586)
Forward liability		56,240	85,342
Accounts payable and accrued expenses		98,108	8,942
Claims and claims reserves		(298,814)	(265,343)
Cash generated from (used in) operations		336,903	(89,688)
Cash paid for income taxes		(162,925)	(332,304)
Net cash from (used in) operating activities		P173,978	(P421,992)

Forward

	<i>Notes</i>	September 30, 2025	September 30, 2024
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceeds from disposal/maturities of:			
AFS financial assets	7	P1,708,045	P1,899,478
HTM securities	8	990,128	456,533
Other investments		—	313,351
Loans and receivables	9	1,895	1,404
Interest received		404,816	373,704
Dividends received		20,707	22,090
Acquisitions of:			
AFS financial assets	7	(2,096,889)	(1,724,176)
HTM securities	8	(915,089)	(506,959)
Other investments		—	(61,549)
Loans and receivables	9	(1,020)	(5,165)
Property and equipment	10	(1,049)	(5,302)
Other assets	14	(22,292)	(34,021)
Net cash provided by investing activities		89,252	729,388
NET INCREASE IN CASH AND CASH EQUIVALENTS		263,230	307,396
EFFECTS OF FOREIGN CURRENCY REVALUATION ON CASH AND CASH EQUIVALENTS		10,853	(848)
CASH AND CASH EQUIVALENTS – January 1		449,739	271,803
CASH AND CASH EQUIVALENTS – September 30		P723,822	P578,351

See Notes to the Financial Statements

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES

STATEMENTS OF CASH FLOWS

For the three months ended September 30, 2025 and 2024

(Amounts in thousands)

	<i>Notes</i>	September 30, 2025	September 30, 2024
CASH FLOWS FROM			
OPERATING ACTIVITIES			
Profit before tax		P355,580	P19,864
Adjustments for:			
Movement in premium reserves – net	<i>13, 18</i>	29,516	2,640
Movement in claims and claims reserves - net	<i>11, 17</i>	51,825	(3,367)
Commissions – net	<i>12, 19</i>	(5,142)	7,297
Interest income	<i>20</i>	(136,307)	(121,855)
Unrealized foreign currency (gains) losses		(18,610)	144,718
Fair value gains on HFT securities	<i>6, 20</i>	(7,574)	(15,468)
Dividend income	<i>20</i>	(5,682)	(5,559)
Unrealized losses (gains) from forward contract	<i>20</i>	8,942	(8,571)
Movement in deposit liability	<i>16, 20</i>	226	629
Loss on sale of AFS financial assets	<i>7, 20</i>	198	5,880
Depreciation and amortization	<i>22</i>	2,645	2,699
Operating income before working capital changes		275,617	28,907
Decrease (increase) in:			
Reinsurance balances receivable – net		(219,422)	408,497
HFT securities		(39,609)	62,082
Loans and receivables		6,350	(3,527)
Reinsurance recoverable on reported claims and claims reserves – net		51,783	112,093
Other assets – net		1,745	(5,238)
Increase (decrease) in:			
Reinsurance balances payable		185,608	(104,028)
Forward liability		56,240	(85,380)
Accounts payable and accrued expenses		107,117	(2,872)
Claims and claims reserves		(150,104)	(114,672)
Cash generated from operations		275,325	295,862
Cash paid for income taxes		(27,280)	(23,428)
Net cash from operating activities		P248,045	P272,434

Forward

	<i>Notes</i>	September 30, 2025	September 30, 2024
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceeds from disposal/maturities of:			
AFS financial assets	7	P176,891	P275,606
HTM securities	8	770,532	25,000
Other investments		–	103,640
Loans and receivables	9	619	530
Interest received		142,900	131,434
Dividends received		5,692	6,560
Acquisitions of:			
AFS financial assets	7	(411,709)	(486,108)
HTM securities	8	(708,081)	(336,850)
Loans and receivables	9	(540)	(1,436)
Property and equipment	10	(322)	(1,656)
Net cash used in investing activities		(24,018)	(283,280)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS			
		224,027	(10,846)
EFFECTS OF FOREIGN CURRENCY REVALUATION ON CASH AND CASH EQUIVALENTS			
		8,389	(13,468)
CASH AND CASH EQUIVALENTS – July 1		491,406	602,665
CASH AND CASH EQUIVALENTS – Sept 30		P723,822	P578,351

See Notes to the Financial Statements

NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES
NOTES TO FINANCIAL STATEMENTS
(Amounts in thousands)

1. CORPORATE INFORMATION

National Reinsurance Corporation of the Philippines (the Company) was incorporated on June 7, 1978 by virtue of Presidential Decree No. 1270 (the Decree), as a domestic professional reinsurance firm to provide life and non-life reinsurance capacity to the Philippines and neighboring insurance markets. Under the Decree, it became the vehicle for the Philippine insurance industry's participation in the Asian Reinsurance Corporation (ARC), a multi-government-initiated reinsurance entity, based in Bangkok, Thailand, which was established to foster regional cooperation among insurance companies doing business in Asia. The Company's shares are listed in the Philippine Stock Exchange (PSE).

The Company is licensed by the Insurance Commission (IC) to engage in business until December 31, 2027.

The Company's registered office and principal place of business is located at 31st floor BPI AIA Makati, 6811 Ayala Avenue, Makati City.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES

The material accounting policies that have been used in the preparation of these financial statements are consistent with those followed in the preparation of the Company's financial statements as at and for the year ended December 31, 2024, as summarized below and in the succeeding pages.

2.1 *Basis of Preparation of Financial Statements*

(a) Statement of Compliance with Philippine Financial Reporting Standards

The accompanying interim condensed financial statements of the Company have been prepared in accordance with Philippine Accounting Standards (PASs) 34, *Interim Financial Reporting*. Accordingly, the condensed financial statements do not include all the information and disclosures required in the December 31, 2024 audited financial statements and should be read in conjunction with the Company's audited financial statements as at and for the year ended December 31, 2024.

(b) Basis of Measurement

The interim condensed financial statements have been prepared using the measurement bases specified by Philippine Financial Reporting Standards (PFRSs) for each type of asset, liability, income, and expense. The measurement bases are more fully described in the accounting policies that follow.

(c) *Presentation of Financial Statements*

The financial statements are presented in accordance with PAS 1, *Presentation of Financial Statements*. The Company presents the statement of comprehensive income in two statements: a statement of income and a statement of comprehensive income. The Company presents the statement of financial position in order of liquidity.

(d) *Functional and Presentation Currency*

These interim condensed financial statements are presented in Philippine peso, the Company's functional and presentation currency, and amounts are presented in thousands except when otherwise indicated.

Items included in the interim condensed financial statements of the Company are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the entity operates.

2.2 Adoption of New and Amended PFRS Accounting Standards and Framework

(a) *Effective in 2025 that are Relevant to the Company*

As at September 30, 2025, there are no new and amended PFRS Accounting Standards that are relevant to the Company.

(b) *Effective Subsequent to 2025 but not Adopted Early*

There are new and amended PFRS Accounting Standards effective for annual periods subsequent to 2025, which were adopted by the Philippine Financial and Sustainability Reporting Standards Council (FSRSC). The Company is still assessing the impact of the new standards on the Company's financial statements.

- PFRS 9, *Financial Instruments* (2014) (adoption deferred to January 1, 2027). This new standard on financial instruments will replace PAS 39, *Financial Instruments* and PFRS 9 (2009, 2010 and 2013 versions).

PFRS 9 is effective for the annual periods beginning on or after January 1, 2018. However, the Company has met the relevant criteria and has applied the temporary exemption from PFRS 9 for annual reporting periods before January 1, 2027. Consequently, the Company will apply PFRS 9 for the first time on January 1, 2027.

The classification of financial assets under PFRS 9 is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. PFRS 9 includes three principal measurement categories for financial assets - measured at amortized cost, fair value through other comprehensive income (FVOCI) and fair value through profit or loss (FVTPL) - and eliminates the previous PAS 39 categories of loans and receivables, AFS financial assets and HTM securities.

In accordance with the financial asset classification principle of PFRS 9, a financial asset is classified and measured at amortized cost if the asset is held within a business model whose objective is to hold financial assets to collect the contractual cash flows that represent solely payments of principal and interest (SPPI) on the principal outstanding. Further, a financial asset whose objective is to both collect contractual cash flows and sell the financial assets is classified and subsequently measured at FVOCI.

All other financial assets not classified as measured at amortized cost or FVOCI as described above are measured at FVTPL. In addition, on initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Moreover, PFRS 9 allows entities to make an irrevocable election to present subsequent changes in the fair value of an equity instrument that is not held for trading in other comprehensive income. The election is made on an instrument-by-instrument basis.

The accounting for embedded derivatives in host contracts that are financial assets is simplified by removing the requirement to consider whether or not they are closely related, and, in most arrangements, does not require separation from the host contract.

For liabilities, the standard retains most of the PAS 39 requirements which include amortized cost accounting for most financial liabilities, with bifurcation of embedded derivatives. The amendment also requires changes in the fair value of an entity's own debt instruments caused by changes in its own credit quality to be recognized in other comprehensive income rather than in profit or loss.

The Company has completed its initial operational gap assessment, drafting the PFRS 9 accounting policies and enhancement of the affected systems. The Company plans to select the Retrospective approach without restatement and as of date, the actual impact of applying the PFRS 9 on the financial statements is not known and cannot be reasonably estimated until the transition stage is reached. The Company will disclose both the qualitative and quantitative information regarding the impact of PFRS 9 before its adoption.

The following table provides an overview of the fair values as at September 30, 2025 and the amounts of change in the fair values during the reporting period separately for financial assets that meet the SPPI criterion (i.e. financial assets with contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, excluding any financial asset that meets the definition of held for trading in PFRS 9, or that is managed and whose performance is evaluated on a fair value basis) and all other financial assets:

	Notes	Financial assets that meet the SPPI criteria*		All other financial assets	
		Fair Value	Fair value change during the reporting period	Fair Value	Fair value change during the reporting period
Cash and cash equivalents	4	P723,822	P–	P–	P–
Funds held by ceding companies	5	240,626	–	–	–
AFS financial assets	7	–	–	5,700,141	34,985
HTM securities	8	3,961,830	7,595	–	–
Loans and receivables	9	112,053	–	–	–
		P5,038,331	P7,595	P5,700,141	P34,985

* Excluding any financial asset that meets the definition of held for trading in PFRS 9, or that is managed and whose performance is evaluated on a fair value basis.

The table below provides information regarding the credit risk exposure of the Company's financial assets as at September 30, 2025 by classifying assets according to the Company's credit grading of counterparties.

	Notes	Neither Past Due nor Impaired		Past Due but not Impaired	Impaired	Total
		Investment High Grade	Non-investment Grade			
Cash and cash equivalents	4	P723,822	P–	P–	P–	P723,822
Reinsurance balances receivable	5	1,720,973	3,703,520	534,030	497,795	6,456,318
AFS financial assets – debt securities	7	5,480,217	–	–	–	5,480,217
HTM securities	8	3,954,235	–	–	–	3,954,235
Loans and receivables	9	98,020	14,033	–	–	112,053
Reinsurance recoverable on reported claims	11	1,505,459	193,246	–	162,309	1,861,014
		P13,482,726	P3,910,799	P534,030	P660,104	P18,587,659

The Company uses a credit grading system based on the borrowers and counterparties overall credit worthiness, as described below.

Investment High Grade – This pertains to accounts with a very low probability of default as demonstrated by the borrower's strong financial position and reputation. The borrower has the ability to raise substantial amounts of funds through credit facilities with financial institutions. The borrower has a strong debt service record and a moderate use of leverage.

Non-investment Grade – Satisfactory – This pertains to current accounts with no history of default or which may have defaulted in the past, but the conditions and circumstances directly affecting the borrower's ability to pay has abated already. The borrower is expected to be able to adjust to the cyclical downturns in its operations. Any prolonged adverse economic conditions would however ostensibly create profitability and liquidity issues. The use of leverage may be above industry or credit standards but remains stable.

Past Due but not Impaired – Rating given to borrowers and counterparties where outstanding obligation is already past due without impairment indicator.

Impaired – This pertains to accounts with impairment indicator and uncertain collectability. Allowance for impairment losses were recognized by the Company for these accounts.

- PFRS 17, *Insurance Contracts* (adoption deferred to January 1, 2027). The new standard will eventually replace PFRS 4, that will set out the principles for the recognition, measurement, presentation and disclosure of insurance contracts within its scope.

PFRS 17 introduces a new approach that:

- (a) combines current measurement of the future cash flows with the recognition of profit over the period services are provided under the contract;
- (b) presents insurance service results (including presentation of insurance revenue) separately from insurance finance income or expenses; and
- (c) requires an entity to make an accounting policy choice portfolio-by-portfolio of whether to recognize all insurance finance income or expenses for the reporting period in profit or loss or to recognize some of that income or expenses in other comprehensive income.

Under PFRS 17, groups of insurance contracts are measured based on fulfilment cash flows, which represent the risk-adjusted present value of the entity's rights and obligations to the policy holders, and a contractual service margin, which represents the unearned profit the entity will recognize as it provides services over the coverage period. Subsequent to initial recognition, the liability of a group of insurance contracts represents the liability for remaining coverage and the liability for incurred claims, with the fulfilment cash flows remeasured at each reporting date to reflect current estimates. Simplifications or modifications to the general measurement model apply to groups of insurance contracts measured using the 'premium allocation approach' and reinsurance contracts held.

PFRS 17 brings greater comparability and transparency about the profitability of new and in-force business and gives users of financial statements more insight into an insurer's or reinsurer's financial health. Separate presentation of underwriting and financial results will give added transparency about the sources of profits and quality of earnings.

On December 15, 2021, the FSRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter (CL) No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the International Accounting Standards Board (IASB). On March 10, 2025, IC issued CL No. 2025-04 which set a new effectivity date of the standard to January 1, 2027. Early application is permitted.

Full retrospective application is required, unless it is impracticable, in which case the entity chooses to apply the modified retrospective approach or the fair value approach. However, if the entity cannot obtain reasonable and supportable information necessary to apply the modified retrospective approach, then it applies the fair value approach. There is also a transition option allowing presentation of comparative information about financial assets using a classification overlay approach on a basis that is more consistent with how PFRS 9 will be applied in future reporting periods. Early application is permitted for entities that apply PFRS 9 on or before the date of initial application of PFRS 17.

The Company has completed its initial operational gap assessment and drafting of the PFRS 17 accounting policies. The Company plans to finalize these policies once it is able to fully determine the impact on the underlying reinsurance contracts. Further, the Company has acquired the necessary systems required to comply with the reporting requirements of PFRS 17 while the affected employees have already started the required trainings to use the system.

The Company has determined that its reinsurance and retrocession contracts have no distinct non-insurance components thus treated as single contracts. However, the detailed financial gap assessment arising from the application of the new standard is yet to be performed by management. As of date, the actual impact of applying the PFRS 17 on the financial statements, including the impact on the Company's net worth, in the period of initial application is not known and cannot be reasonably estimated because it is dependent on the final accounting elections and judgements that will be incorporated in the accounting policies and future economic conditions.

- PFRS 18, *Presentation and Disclosure in Financial Statements* replaces PAS 1, which sets out presentation and base disclosure requirements for financial statements. The changes, which mostly affect the income statement, include the requirement to classify income and expenses into three new categories – operating, investing and financing – and present subtotals for operating profit or loss and profit or loss before financing and income taxes.

Further, operating expenses are presented directly on the face of the income statement – classified either by nature, by function or using a mixed presentation. Expenses presented by function require more detailed disclosures about their nature.

PFRS 18 also provides enhanced guidance for aggregation and disaggregation of information in the financial statements, introduces new disclosure requirements for management-defined performance measures (MPMs) and eliminates classification options for interest and dividends in the statement of cash flows.

The amendments will apply retrospectively for annual reporting periods beginning on or after January 1, 2027, with earlier application permitted. Management is still assessing the impact of this new standard on the Company's financial statements.

2.3 Reinsurance Contracts

Product Classification

Reinsurance contracts are those contracts under which the Company (the reinsurer) has accepted significant insurance risk from insurance and reinsurance companies (the cedants) by agreeing to compensate the cedants if a specified uncertain future event (the insured event) adversely affects the cedants. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid when an insured event occurs with benefits payable if the insured event did not occur.

Reinsurance contracts can also transfer financial risks. Contracts that transfer financial risks which create financial assets or financial liabilities, but do not expose the Company to significant insurance risk, are within the scope of PAS 39 and are recognized as Deposit liability under Accounts payable and accrued expenses.

Once a contract has been classified as reinsurance contract, it remains a reinsurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during the period, unless all rights and obligations are extinguished or expired.

Retrocession Contracts Held

Contracts entered into by the Company with retrocessionaires under which the Company is compensated for losses on one or more contracts issued by the Company and that meet the classification requirements for reinsurance contracts above are classified as retroceded contracts held. Contracts that do not meet those classification requirements are classified as financial assets.

Reinsurance recoverable on paid claims are included as part of Reinsurance balances receivable. These balances represent the retrocessionaires' share in the amounts paid to the cedants and are in accordance with the retroceded contract. Reinsurance recoverable on unpaid claims represents balances due from retrocessionaires for its share on the unpaid claims and Reinsurance recoverable on claims reserves represent the retrocessionaires' share for its losses in the claims reserves are both presented under Reinsurance recoverable on reported claims and claims reserves – net in the statements of financial position. The recoverable amounts are estimated in a manner consistent with the claims and claims reserves and are in accordance with the retroceded contract.

Reinsurance balances receivable, Reinsurance recoverable on reported claims and claims reserves are reviewed for impairment at the end of each reporting period or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when objective evidence exists that the Company may not recover outstanding amounts under the terms of the contract and when the impact on the amounts that the Company will receive from the cedants and retrocessionaires can be measured reliably.

The impairment loss is recognized as part of General and administrative expenses in the statements of income.

Retroceded insurance risk does not relieve the Company from its obligations to ceding companies.

Reinsurance balances payable primarily represent premiums due to retrocessionaires. Amounts payable are estimated in a manner consistent with the associated retrocession contract.

Assets and liabilities arising from reinsurance activities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Receivables and Payables Related to Reinsurance Contracts and Retrocession Contracts Held

Financial assets and financial liabilities arising from reinsurance and retrocession contracts held are offset and the resulting net amount is reported in the statements of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously. The right to offset must be available at the end of the reporting period, that is, it is not contingent on future event. It must also be enforceable in the normal course of business, in the event of default, and in the event of insolvency or bankruptcy; and must be legally enforceable for both entity and all counterparties to the financial instruments.

2.4 Financial Assets

Financial assets are recognized when the Company becomes a party to an agreement and agrees to sell goods or services for a fixed amount of money. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized on the trade date, i.e., the date that the Company commits to purchase the asset.

For purposes of classifying financial assets, an instrument is considered as an equity instrument if it is non-derivative and meets the definition of equity for the issuer in accordance with the criteria of PAS 32, *Financial Instruments: Presentation*. All other non-derivative financial instruments are treated as debt instruments.

(a) Classification and Measurement of Financial Assets

Financial assets other than those designated and effective as hedging instruments are classified into the following categories: loans and receivables, financial assets at FVTPL, AFS financial assets and HTM securities. Financial assets are assigned to the different categories by management on initial recognition, depending on the purpose for which the investments were acquired.

Financial assets are recognized initially at fair value of the consideration given. Except for financial assets at FVTPL, the initial measurement of financial assets includes transaction costs.

(i) *Loans and Receivables*

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These arise when the Company provides money or services directly to a debtor with no intention of trading the receivables.

The Company's financial assets categorized as loans and receivables are presented as cash and cash equivalents, reinsurance balances receivable – net, loans and receivables, reinsurance recoverable on reported claims and claims reserves – net, and other investments.

Loans and receivables are subsequently measured at amortized cost using the effective interest method subject to any impairment loss. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. The amortization, if any, is included as part of Interest income presented under Investment and other income and expenses – net account in the statements of income.

(ii) *Financial assets at FVTPL*

This category consists of financial instruments that are held-for-trading or designated by management on initial recognition. Financial assets at FVTPL are recorded in the statements of financial position at fair value, with changes recorded in the Investment and other income and expenses - net account in the statements of income.

HFT securities are not reclassified subsequent to their initial recognition, unless they are no longer held for the purpose of being sold or repurchased in the near term and the following conditions are met:

- if the financial asset would have met the definition of loans and receivables (if the financial asset had not been required to be classified as held-for-trading at initial recognition), then it may be reclassified if the Company has the intention and the ability to hold the financial asset in the foreseeable future or until maturity; and
- the financial asset may be reclassified out of the held-for-trading securities category only under “rare circumstances”.

As at September 30, 2025 and December 31, 2024, the Company does not have any financial asset designated by management as financial instruments at FVTPL. The Company's HFT securities consist of Unit Investment Trust Fund (UITF), equity securities listed in the PSE and forward assets.

(iii) *AFS Financial Assets*

This category includes non-derivative financial assets that are designated as AFS financial assets or are not classified as loans and receivables, HTM securities or financial assets at FVTPL. The Company's AFS financial assets include listed and unlisted equity securities and government and corporate bonds.

All financial assets within this category are subsequently measured at fair value, except for certain equity instruments that do not have a quoted market price in an active market and whose fair value cannot be reliably measured which are measured at cost less any impairment loss. Fair value gains and losses are recognized in other comprehensive income and are reported as part of the Revaluation reserves account in the equity except for interest and dividend income, impairment losses and foreign exchange differences on monetary assets, which are recognized in the statements of income.

(iv) *HTM securities*

This category includes non-derivative financial assets with fixed or determinable payments and fixed maturity, and that the Company has the intention and ability to hold to maturity other than: (a) those that Company designates as financial assets at FVTPL upon initial recognition; (b) those that the Company designates as AFS; and (c) those that meet the definition of loans and receivables. This category includes corporate bonds and government securities.

HTM securities are subsequently measured at amortized cost using the effective interest method subject to any impairment loss. Interest income is recognized under Investment and other income and expenses – net account in the statements of income.

(b) *Impairment of Financial Assets*

The Company assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired.

The Company recognizes impairment loss based on the category of financial assets as follows:

(i) *Carried at Amortized Cost – Loans and Receivables and HTM Securities*

If there is objective evidence that an impairment loss on financial assets carried at cost has been incurred, the amount of the impairment loss is determined as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred), discounted at the financial asset's original effective interest rate or current effective interest rate determined under the contract if the loan has a variable interest rate.

Evidence of impairment is the age of the receivable and/or any financial difficulties of the counterparty. Allowances are set up on the net balance, meaning all balances related to the same counterparty are considered. The amount of the allowance is set up in relation to the time a receivable has been due and any financial difficulties of the counterparty and can be as high as the outstanding net balance.

The carrying amount of the asset shall be reduced either directly or through the use of an allowance account. The amount of the loss shall be recognized in the statements of income.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment is recognized (such as an improvement in the debtor's credit rating), the previously recognized impairment loss is reversed by adjusting the allowance account. The reversal shall not result in a carrying amount of the financial asset that exceeds what the amortized cost would have been had the impairment not been recognized at the date of the impairment is reversed. The amount of the reversal is recognized in the statements of income.

Reclassification of AFS Financial Assets to HTM Securities

For a financial asset reclassified from AFS financial assets category to HTM securities, the Company shall reclassify the financial asset at its fair value on the date of reclassification which becomes its new amortized cost. Any previous gain or loss on that asset that has been recognized in other comprehensive income and any difference between the new amortized cost and maturity amount is amortized in profit or loss over the remaining life of the investments using the effective interest method similar to the amortization of a premium and a discount. This is presented as Revaluation reserves – HTM securities in the statements of changes in equity. If the financial asset is subsequently impaired, any gain or loss that has been recognized in other comprehensive income is reclassified from equity to profit or loss.

(ii) *Carried at Fair Value – AFS Financial Assets*

When a decline in the fair value of an AFS financial asset has been recognized in other comprehensive income and there is objective evidence that the asset is impaired, the cumulative loss – measured as the difference between the acquisition cost (net of any principal repayment and amortization) and current fair value, less any impairment loss on that financial asset previously recognized in statements of income – is reclassified from Revaluation reserves to statements of income as a reclassification adjustment even though the financial asset has not been derecognized.

Impairment losses recognized in statements of income on equity instruments are not reversed through profit or loss. Reversal of impairment losses is recognized in other comprehensive income, except for financial assets that are debt securities which are recognized in profit or loss only if the reversal can be objectively related to an event occurring after the impairment loss is recognized.

(c) *Items of Income and Expense Related to Financial Assets*

All income and expenses, except for recognition and reversal of impairment loss on reinsurance balances receivable and reinsurance recoverable on reported claims, relating to financial assets that are recognized in the statements of income are presented as part of Investment and other income and expenses – net account. If the provision is higher than the reversal of impairment losses on reinsurance balances receivable and reinsurance recoverable on reported claims, this is presented at net as part of Impairment losses under General and administrative expenses account in the statements of income. If the reversal of impairment losses is higher than the provision for reinsurance balances receivable and reinsurance recoverable on reported claims, this is presented at net as part of Other income under Investment and other income and expenses – net account.

Non-compounding interest, dividend income and other cash flows resulting from holding financial assets are recognized in the statements of income when earned, regardless of how the related carrying amount of financial assets is measured.

(d) Derecognition of Financial Assets

The financial assets (or where applicable, a part of a financial asset or part of a group of financial assets) are derecognized when the contractual rights to receive cash flows from the financial instruments expire, or when the financial assets and all substantial risks and rewards of ownership have been transferred to another party. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

(e) Fair Value Measurement of Financial Assets

‘Fair value’ is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as ‘active’ if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

If an asset measured at fair value has a bid price, then the Company measures assets and long positions at a bid price.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Company determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the measurement, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

2.5 Deferred Acquisition Costs (DAC)

The Company incurs costs in connection with acquiring new and renewal reinsurance business. Some of these costs, which consist primarily of commissions, are deferred as these are directly related to the successful acquisition of such business and amortized based on the type of contract. This is accounted as DAC under the Asset section in the statements of financial position. DAC are assessed for recoverability in the year of policy issue to ensure that these costs are recoverable out of the estimated future margins to be earned on the policy. DAC are assessed for recoverability at least annually thereafter.

DAC is recognized as expense over the coverage period of the contracts using the 24th method [see Note 2.14(b)] except for DAC from modified co-insurance arrangements. For modified co-insurance arrangements, DAC is amortized over the expected life of the contracts in which the related premiums are earned. The net change in the account between each end of reporting periods are recognized as part of Commission expense under Commissions – net account in the statements of income.

2.6 Deferred Reinsurance Premiums (DRP)

The ceded reinsurance premiums that pertain to the unexpired period of the contracts at the end of the reporting period are accounted for as DRP and presented in the Assets section of the statements of financial position. Subsequent to initial recognition, the amount is amortized using the 24th method [see Note 2.13(a)]. The net change in the account between each end of reporting periods are recognized in the statements of income under Movement in premium reserves – net.

2.7 Reinsurance Recoverable on Reported Claims and Claims Reserves

Reinsurance recoverable on reported claims and claims reserves represent the amount recoverable from retrocessionaires under retroceded contracts as their share on unpaid claims and unreported claims and loss adjustment expenses, net of salvage of recoveries.

2.8 Other Assets

Other assets pertain to other present economic resources controlled by the Company as a result of past events. An economic resource is a right that has the potential to produce economic benefits and the asset has a cost or value that can be measured reliably.

This include intangible assets which are composed of acquired software licenses which are accounted for under the cost model. Capitalized costs are amortized on a straight-line basis over five years as the lives of these intangible assets are considered finite. The Company estimates the useful lives of intangible assets based on the period over which assets are expected to be available for use. The estimated useful lives are reviewed periodically and are updated if expectations differ from previous estimates due to technical or commercial obsolescence and legal or other limits on the use of the assets.

2.9 Financial Liabilities

The Company classifies its financial liabilities at initial recognition into the following categories: financial liabilities at FVTPL and other liabilities. The Company determines the classification of its financial liabilities at initial recognition, and were allowed and appropriate, re-evaluates such designation at every reporting date.

Other financial liabilities pertain to financial liabilities that are not designated or classified at FVTPL. Other financial liabilities are initially measured at their fair value and subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in the statements of income.

The Company's other financial liabilities include Reinsurance balances payable, Claims and claims reserves (excluding Margin for Adverse Deviation (MfAD) and loss adjustment expenses) and Accounts payable and accrued expenses (excluding taxes payable, defined benefit liability and other taxes payable), are recognized when the Company becomes a party to an agreement and agrees to purchase goods or services for a fixed amount of money. All interest-related charges are recognized as part of Investment and other income and expenses – net account in the statements of income.

Dividend distributions to shareholders are recognized as financial liabilities upon declaration by the Company.

Financial liabilities are derecognized from the statements of financial position only when the obligations are extinguished either through discharge, cancellation or expiration. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, with the difference in the respective carrying amounts recognized in the statements of income.

Derivative financial instruments are classified under financial assets and financial liabilities at FVTPL when there is an agreement to settle both assets and liabilities independently. Derivative financial instruments are classified under financial assets or financial liabilities when there is an agreement to settle at net. Derivatives are initially recorded at fair value on the date at which the derivative contract is entered into and are subsequently remeasured at fair value. Any gains or losses arising from changes in fair values of derivatives (except those accounted for as cash flow hedges) are taken directly to the statements of income and are included in Investment and other income and expenses – net account (see Note 20).

The Company's outstanding derivative asset and liability arising from forward contracts are presented under HFT securities and Forward liability accounts in the statement of financial position (see Note 6).

2.10 Claims and Claims Reserves

Claims represent the present value of the estimated cost of all reported claims at the end of the reporting period, together with related claims handling costs and reduced for the expected value of salvage and other recoveries. This includes outstanding claims reserves, loss adjustment expenses payable plus MfAD based on a certain percentage of the total outstanding claims reserves and loss adjustment expenses payable to allow for inherent uncertainty of the best estimate of the policy reserves.

Claims reserves represent the estimated ultimate cost of all incurred but not reported claims (IBNR), including incurred but not enough reported claims plus MfAD at the end of the reporting period. Claims reserves are measured on a discounted basis, using actuarial estimates of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed and the ultimate liability may vary significantly from the amount recognized, which are reflected in claims payable in the statement of financial position in the period in which they are determined.

2.11 Premium Reserves

Premium reserves refer to unearned premium reserves (UPR) plus any deficiency resulting from the liability adequacy test.

UPR refers to the portion of the premiums attributable to the unexpired risks at the balance sheet date and is recognized as revenue over the coverage period of the contracts using the 24th method [see Note 2.13(a)].

Liability Adequacy Test

Liability adequacy tests are performed at end of each reporting period, to ensure the adequacy of premium reserves. The test is performed by comparing the UPR, net of related DAC, and the present value of the current best estimates of future cash flows including claims handling and policy administration expenses. Any deficiency is charged to the statements of income and is recognized as premium reserves.

2.12 Deferred Reinsurance Commissions (DRC)

Commissions earned from retrocession contracts are recognized as revenue over the coverage period of the contracts using the 24th method [see Note 2.13(c)]. The portion of the commissions that relates to the unexpired periods of the contracts at end of the reporting period is accounted for as Deferred reinsurance commissions and is presented in the Liabilities section of the statements of financial position. The net change in the account between each end of reporting periods are recognized as Commission income under Commissions – net in the statements of income.

2.13 Revenue and Income Recognition

Revenue is recognized only when (or as) the Company satisfies a performance obligation by transferring control of the promised services to the customer. Expenses and costs, if any, are recognized in the statement of income upon utilization of the resources or services or at the date these are incurred. All finance costs are reported on an accrual basis.

The Company's significant revenues pertain to net reinsurance premiums and investment income which are accounted for by the Company in accordance with PFRS 4 and PAS 39, respectively. The Company also earns other income from sale of non-financial assets, which is recognized as income once the Company transferred the goods. These are accounted for by the Company in accordance with relevant accounting standards.

The following provides information about the specific recognition criteria of revenues recognized in accordance with PFRS 4 and PAS 39:

Net underwriting income includes reinsurance premiums, retroceded premiums and commissions describe as follows:

- (a) *Reinsurance premiums* – Reinsurance premiums are recognized as revenue when the Company enters into a contract with cedants assuming insurance risks in exchange for reinsurance premium. Reinsurance premiums include premiums reported by cedants and accrued premiums. The Company records accrued premiums on a cedant-by-cedant basis taking into consideration the terms of the reinsurance treaty, historical experience and latest information from cedants.

Reinsurance premiums are recognized over the coverage period of the contracts using the 24th method. The 24th method assumes that the average date of issue of all contracts written during any one month is the middle of that month. Accordingly, 1/24th of the net premiums are considered earned in the month the reinsurance contracts are issued and 2/24th for every month thereafter (or 1/24th for every 15-day period after the issue month). While for specific agriculture treaty contracts where the underlying risk relates to the crops cultivated within India, the Company recognize the earned premium during the harvest period. The portion of the gross reinsurance premiums that relates to the unexpired periods of the contracts at the end of the reporting period is accounted for as Premium reserves (see Note 2.11) and is presented in the Liabilities section of the statements of financial position while the portion of the retroceded reinsurance premiums that relates to the unexpired periods of the contracts at the end of the reporting period is accounted for as Deferred reinsurance premiums (see Note 2.6) and is presented in the Assets section of the statements of financial position.

Uncollected premiums net of deferred creditable withholding taxes (CWT) and accrued premiums are recognized as due from ceding companies as part of Reinsurance balances receivable – net in the statements of financial position.

The net changes in the Premium reserves and Deferred reinsurance premiums accounts between the end of the reporting periods are recognized in the statements of income as part of Movement in premium reserves – net.

- (b) *Retroceded premiums* – Retroceded premiums are recognized as an expense when the Company enters into a contract with a retrocessionaire transferring insurance risks to the retrocessionaire in exchange for retroceded premiums. Retroceded premiums include premiums reported to the retrocessionaires and accrued retroceded premiums. The Company records accrued retroceded premiums based on individual retrocession treaties taking into consideration the terms of the treaty, historical experience and latest information relevant to the treaty.
- (c) *Commission on retrocession* – Commission is deferred and is subjected to the same amortization as the retroceded reinsurance premiums (see Note 2.12). Deferred portion is presented in the statements of financial position as Deferred reinsurance commissions.
- (d) *Other underwriting income (expense)* – pertains to the net benefits received or costs incurred from a certain group life treaty participating in a pool arrangement.

Investment and other income and expenses includes interest income, dividend income, gain/loss on sale of non-financial assets and foreign currency gain/loss describe as follows:

- (a) *Interest income* – Interest income for all interest-bearing financial instruments are recognized using the effective interest rate method.
- (b) *Dividend income* – Revenue is recognized when the Company's right to receive the dividend is established.
- (c) *Gain/ loss on sale of non-financial assets* – Revenue or expenses is recognized when the risks and rewards of ownership of the investments have passed to the buyer or at a point in time when the control of the non-financial assets transfers to the customer.

Determining whether the Company is Acting as Principal or an Agent

The Company assesses its revenue arrangements against the following criteria to determine whether it is acting as a principal or an agent:

- whether the Company has primary responsibility for providing the services
- whether the Company has discretion in establishing prices; and
- whether the Company bears the credit risk.

If the Company has determined it is acting as a principal, the Company recognizes revenue on gross basis with the amount remitted to the other party being accounted as part of cost and expenses. If the Company has determined it is acting as an agent, only the net amount retained is recognized as revenue.

The Company has determined that it is acting as principal in its revenue arrangements.

2.14 Expense Recognition

Expenses are decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distribution to equity participants.

(a) *Claims and claims reserves*

Claims relating to insurance contracts are recognized when insured events occur. These arise from events that have occurred up to reporting date even if these have not yet been reported to the Company. The claims (including those for IBNR claims) are based on the estimated ultimate cost of settling the claims and are discounted for time value of money. The method of determining such estimates and establishing reserves are continually reviewed and updated.

Claims recoveries are evaluated in terms of the aggregate share of the retrocessionaires on the claims and adjustment expenses of the Company on business retroceded under retrocession arrangements. Recoveries on paid, unpaid claims and claims reserves are recognized in the period the related claims are incurred.

Claims paid, the change in claims and claims reserves and the corresponding share of the retrocessionaires are presented under Claims and claims reserves – net in the statements of income.

(b) Acquisition Costs

Costs that vary with and are primarily related to the acquisition of new and renewal reinsurance contracts, other than those related to modified co-insurance, such as commissions and certain underwriting costs, are recognized as expense over the period of the contracts using the 24th method. Unamortized acquisition costs are presented in the statements of financial position as Deferred acquisition costs (see Note 2.5).

(c) General and Administrative Expenses

Costs and expenses are recognized in the statements of income upon utilization of goods or services during the period they are incurred. General and administrative expenses include salaries and employee benefits, taxes related expenses, professional fees and other operational expenses.

2.15 Foreign Currency Transactions and Translation

The accounting records of the Company are maintained in Philippine peso. Foreign currency transactions during the period are translated into the functional currency at exchange rates which approximate those prevailing on transaction dates.

Foreign currency gains and losses resulting from the settlement of such transactions and from the translation at closing exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the statements of income as part of Investment and other income and expenses – net (see Note 20).

2.16 Income Taxes

Tax expense recognized in the statements of income comprises the sum of final tax, current tax and deferred tax not recognized in other comprehensive income or directly in equity, if any.

Current tax assets or liabilities comprise those claims from, or obligations to, fiscal authorities relating to the current or prior reporting period, that are uncollected or unpaid at the end of the reporting period and any adjustment to tax payable in respect of previous years. They are calculated using the tax rates and tax laws applicable to the fiscal periods to which they relate, based on the taxable profit for the year. All changes to current tax assets or current tax liabilities are recognized as a component of tax expense in the statements of income.

Deferred tax is accounted for using the asset-liability method, on temporary differences at the end of the reporting period between the tax base of assets and liabilities and their carrying amounts for financial reporting purposes. Under the asset-liability method, with certain exceptions, deferred tax liabilities are recognized for all taxable temporary differences and deferred tax assets are recognized for all deductible temporary differences and the carryforward of unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. Unrecognized deferred tax assets are reassessed at the end of each reporting period and are recognized to the extent that it has become probable that future taxable profit will be available to allow such deferred tax assets to be recovered.

Deferred tax assets and deferred tax liabilities are measured at the tax rates that are expected to apply in the period when the asset is realized or the liability is settled provided such tax rates have been enacted or substantively enacted at the end of the reporting period.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

The measurement of deferred tax liabilities and deferred tax assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Most changes in deferred tax assets or deferred tax liabilities are recognized as a component of tax expense in the statements of income, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

Deferred tax assets and deferred tax liabilities are offset if the Company has a legally enforceable right to set off current tax assets against current tax liabilities and the deferred taxes relate to the same entity and the same taxation authority.

2.17 Related Party Transactions and Relationships

Related party transactions are transfers of resources, services or obligations between the Company and its related parties, regardless whether a price is charged.

Based on the requirement of SEC Memorandum Circular 2019-10, *Rules on Material Related Party Transactions for Publicly-listed Companies*, transactions amounting to ten percent (10%) or more of the total assets based on the latest audited financial statements that were entered into by the Company with related parties are considered material.

All individual material related party transactions shall be approved by at least two-thirds vote of the board of directors, with at least a majority of the independent directors voting to approve the material related party transactions. In case that a majority of the independent directors' vote is not secured, the material related party transaction may be ratified by the vote of the stockholders representing at least two-thirds of the outstanding capital stock. For aggregate related party transactions within a 12-month period that breaches the materiality threshold of ten percent (10%) of the Company's total assets based on the latest audited financial statements, the same board approval would be required for the transaction(s) that meets and exceeds the materiality threshold covering the same related party.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

2.18 Equity

Capital stock represents the nominal value of shares that have been issued.

Additional paid-in capital includes any premiums received on the initial issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits.

Treasury shares are stated at the cost of reacquiring such shares and are deducted from equity attributable to the Company's holders until the shares are cancelled, reissued or disposed of.

Revaluation reserves comprise gains and losses due to the revaluation of AFS financial assets, unamortized fair value gains and losses from HTM securities, and remeasurements of defined benefit plan.

Retained earnings represent all current and prior period results of operations as reported in the statements of income, reduced by the amounts of dividends declared. The appropriated portion of the retained earnings is intended as additional reserve for contingencies (see Note 23.2).

2.19 Earnings Per Share

Basic earnings per share is determined by dividing net profit by the weighted average number of shares issued, adjusted for stock dividends and stock split, less shares held in treasury during the period.

Diluted earnings per share is computed by adjusting the weighted average number of ordinary shares outstanding to assume conversion of dilutive potential shares.

2.20 Segment Reporting

For purposes of segment reporting, the Company does not have other reportable segments. The Company has one reportable business segment which is the reinsurance market. The financial information about the sole business segment is presented in the financial statements.

The management monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the financial statements.

2.21 Events After the End of the Reporting Period

Any event subsequent to the balance sheet date that provides additional information about the Company's financial position at the end of the reporting period (adjusting event) is reflected in the financial statements. Events subsequent to the balance sheet date that are not adjusting events, if any, are disclosed when material to the financial statements.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Company's financial statements in accordance with PFRS Accounting Standards requires management to make judgments and estimates that affect the amounts reported in the financial statements and related notes.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Company's accounting policies, management has made the judgments as presented below and in the succeeding pages, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements.

(a) Impairment of Financial Assets

(i) Financial Assets at Fair Value – AFS Financial Assets

The Company considers that investments are impaired when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is significant or prolonged decline requires judgment. In making this judgment, the Company evaluates among other factors, the normal volatility in share or market price. In addition, impairment may be appropriate when there is evidence of deterioration in the financial health of the investee, industry and sector performance, changes in technology, and operational and financing cash flows.

Based on the recent evaluation of information and circumstance affecting the Company's AFS financial assets, management concluded that decline in fair value of certain AFS financial assets amounting to P22.22 million is considered impairment in value as at December 31, 2024 (see Note 7). No impairment was noted as at September 30, 2025. Future changes in those information and circumstance might significantly affect the carrying amount of the assets.

(ii) Financial Assets at Amortized Cost

The Company reviews its financial assets at amortized cost to assess impairment at least on an annual basis, or as the need arises due to significant movements on certain accounts. These financial assets that are individually significant are assessed to determine whether objective evidence of impairment exists on an individual basis, while those that are not individually significant are assessed for objective evidence of impairment either on an individual or on collective basis.

In determining whether an impairment loss should be recorded in the statements of income, the Company makes judgment as to whether there are any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets before the decrease can be identified with an individual financial asset in that portfolio.

As at September 30, 2025 and December 31, 2024, the Company has recognized allowance for impairment loss amounting to P660.10 million and P661.52 million, respectively (see Notes 5 and 11).

(b) Classification of Financial Instruments

The Company exercises judgment in classifying a financial instrument, or its component parts, on initial recognition as a financial asset, financial liability or an equity instrument in accordance with the substance of the contractual arrangement and the definitions of a financial asset or liability. The substance of a financial instrument, rather than its legal form, governs its classification in the statements of financial position. In addition, the Company classifies assets by evaluating among others, whether the asset is quoted or not in an active market. Included in the evaluation on whether a financial asset is quoted in an active market is the determination on whether the quoted prices are readily and regularly available and whether those prices represent actual and regularly occurring market transactions on an arm's length basis.

As at September 30, 2025 and December 31, 2024, the Company classified its financial instruments as financial assets at FVTPL, AFS financial assets, HTM securities, loans and receivables, financial liabilities at FVTPL and other financial liabilities.

(c) Recognition of Provisions and Contingencies

Judgment is exercised by management to distinguish between provisions and contingencies. Relevant disclosures are presented in Note 27.

3.2 Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next reporting period:

(a) Impairment of Financial Assets Carried at Amortized Cost

Management uses estimates based on historical loss experience for assets with credit risk characteristics. An adequate amount of allowance for impairment is made for specific and groups of accounts, where objective evidence of impairment exists.

The Company evaluates the amount of allowance for impairment based on available facts and circumstances, including, but not limited to, the length of the Company's relationship with the counterparties, the counterparties' current credit status based on known market forces, average age of accounts, collection experience and historical loss experience.

The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

The carrying value of reinsurance balances receivable, reinsurance recoverable on reported claims and the analysis of allowance for impairment on such financial assets are shown in Notes 5 and 11.

The carrying values of HTM securities and loans and receivables are shown in Notes 8 and 9, respectively.

(b) *Fair Value Measurement of AFS financial assets*

The Company carries certain financial assets at fair value, which requires the extensive use of accounting estimates and judgment. In cases when active market quotes are not available, fair value is determined by reference to the current market value of another instrument which is substantially the same or is calculated based on the expected cash flows of the underlying net base of the instrument. The amount of changes in fair value would differ if the Company utilized different valuation methods and assumptions. Any change in fair value of these financial assets and liabilities would affect profit or loss and other comprehensive income.

The carrying value of the Company's AFS financial assets and the amounts of fair value changes recognized are disclosed in Note 7.

(c) *Determination of Realizable Amount of Deferred Tax Assets*

The Company reviews its deferred tax assets at each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Any deferred tax asset will be remeasured if it might result to derecognition where the expected tax law to be enacted has a possible risk on the realization.

As at September 30, 2025 and December 31, 2024 the Company recognized net deferred tax assets amounting to P507.10 million and P582.26 million, respectively, as management has assessed that it is probable that sufficient taxable profit will be available to allow the benefit of the deferred tax assets to be utilized. However, unrecognized deferred tax assets amounted to P783.97 million and P546.79 million as at September 30, 2025 and December 31, 2024, respectively.

(d) *Valuation of Reinsurance Premiums*

Reinsurance premiums include premiums reported by cedants and accrued reinsurance premiums. The Company records accrued premiums based on a cedant-by-cedant basis taking into consideration the terms of the reinsurance treaty, historical experience and latest information from cedants.

The Company's accrued reinsurance premiums were recognized as part of Reinsurance premiums – net of returns in the statements of income.

(e) *Valuation of Retroceded Premiums*

Retroceded premiums include premiums reported to the retrocessionaires and accrued retroceded premiums. The Company records retroceded premiums based on individual retroceded treaties taking into consideration the terms of the retroceded treaty, historical experience and latest information relevant to the treaty.

The Company's accrued retroceded premiums were recognized as part of Retroceded premiums in the statements of income.

(f) *Valuation of Reinsurance Contract Liabilities*

The Company's Reinsurance contract liabilities are composed of premium liabilities and claim liabilities. Premium liabilities are the premium reserves while claim liabilities are equal to the present value of Claims and claims reserves accounts in the statements of financial position which include outstanding claims, IBNR claims, loss adjustment expenses payable plus the MfAD. Claim liabilities are discounted for the time value of money.

The Company estimates the present value of future cash flows, used in performing the liability adequacy test and in determining claims liabilities, through the use of historical claims experience and claims settlement patterns.

The principal assumption underlying the claim liability estimates is that the Company's future claims development will depend on the estimate of the ultimate loss during a period of time for a particular risk exposure and then estimate the percentage of this ultimate loss that was not reported as of the reporting date.

The Company's claim liability estimates, as ascertained by an independent actuary, are determined by calculating the estimated ultimate losses as the sum of reported claims plus IBNR claims. Ultimate losses were estimated using generally accepted actuarial methods such as the Chain Ladder Method, Bornhuetter-Ferguson Method and the Expected Loss Ratio Method. The Company also included MfAD as a percentage of the total outstanding losses, IBNR best estimate and loss adjustment expenses payable, to allow for inherent uncertainty of the best estimate of the policy reserves.

Additional qualitative judgments are used by the independent actuary to assess the extent to which the full tail of the claims development is influenced by the different factors, for example, changes in market factors such as public attitude to claiming, economic conditions, as well as internal factors such as portfolio mix and policy conditions. Judgment is further used to assess the extent to which external factors such as juridical decisions and government legislation affect the estimates.

As at September 30, 2025 and December 31, 2024, the carrying value of provision for claims reported and IBNR claims are recognized as Claims and claims reserves in the statements of financial position (see Note 17).

The following tables show the estimates of cumulative incurred claims, gross of retrocession, for each underwriting year at each reporting date, together with cumulative claims paid at September 30, 2025 and December 31, 2024.

[illegible]

[illegible]

The following tables show the estimates of cumulative incurred claims, net of retrocession, for each underwriting year at each reporting date, together with cumulative claims paid as at September 30, 2025 and December 31, 2024.

[illegible]

[illegible]

4. CASH AND CASH EQUIVALENTS

This account consists of:

	September 30, 2025	December 31, 2024
Cash on hand and in banks	P164,351	P114,909
Short-term placements	559,471	334,830
	P723,822	P449,739

Cash in banks generally earn interest at rates based on daily bank deposit rates.

Short-term placements include time deposits and special deposit accounts made for varying periods of up to three months depending on the liquidity requirements of the Company.

Interest income recognized from cash in banks and short-term placements amounting to P13.00 million in 2025 and P14.59 million in 2024 is presented as part of the Investment and other income and expenses – net account in the statements of income (see Note 20).

Peso short-term placements earn annual interest ranging from 3.50% to 5.75% in 2025 and 3.60% to 6.25% in 2024, while U.S. dollar short-term placements earn annual interest ranging from 3.38% to 4.83% in 2025 and 2.33% to 5.55% in 2024.

The Cash and cash equivalents account includes cash and short-term placements denominated in U.S. dollar amounting to \$4.08 million (P237.29 million) and \$2.68 million (P155.43 million) as at September 30, 2025 and December 31, 2024, respectively and cash denominated in Euro amounting to €1.52 million (P103.75 million) and €0.36 million (P21.52 million) as at September 30, 2025 and December 31, 2024, respectively.

5. REINSURANCE BALANCES RECEIVABLE – NET

The details of this account are as follows:

	September 30, 2025	December 31, 2024
Due from ceding companies	P5,815,620	P5,100,971
Reinsurance recoverable on paid claims	399,012	492,362
Funds held by ceding companies	240,626	266,217
Due from reinsurers	1,060	19,590
	6,456,318	5,879,140
Allowance for impairment	(497,795)	(499,208)
	P5,958,523	P5,379,932

The movements in these accounts are as follows:

September 30, 2025					
Notes	Due from ceding Companies	Reinsurance recoverable on paid claims	Funds held by ceding companies	Due from reinsurers	Total
Balance at beginning of period	P5,100,971	P492,362	P266,217	P19,590	P5,879,140
Claims recoveries during the period	11, 21.1	392,183	—	—	392,183
Premiums written net of funds held during the period	4,275,671	—	—	—	4,275,671
Funds held during the period	—	—	181,336	—	181,336
Reclassification	122,277	(5,412)	(214,954)	(18,530)	(116,619)
Collections during the period	(3,635,622)	(479,203)	—	—	(4,114,825)
Foreign exchange revaluation	(47,677)	(918)	8,027	—	(40,568)
	5,815,620	399,012	240,626	1,060	6,456,318
Allowance for impairment	(148,236)	(348,474)	(25)	(1,060)	(497,795)
Balance at end of period	P5,667,384	P50,538	P240,601	P—	P5,958,523

December 31, 2024					
Note	Due from ceding companies	Reinsurance recoverable on paid claims	Funds held by ceding companies	Due from reinsurers	Total
Balance at beginning of year	P4,198,419	P524,868	P233,485	P1,060	P4,957,832
Claims recoveries during the year	11	681,644	—	—	681,644
Premiums written net of funds held during the year	5,475,909	—	—	—	5,475,909
Funds held during the year	—	—	548,552	—	548,552
Reclassification	488,554	70,439	(514,178)	18,530	63,345
Collections during the year	(5,057,260)	(788,062)	—	—	(5,845,322)
Foreign exchange revaluation	(4,651)	3,473	(1,642)	—	(2,820)
	5,100,971	492,362	266,217	19,590	5,879,140
Allowance for impairment	(148,245)	(349,878)	(25)	(1,060)	(499,208)
Balance at end of year	P4,952,726	P142,484	P266,192	P18,530	P5,379,932

The Company's collections of these reinsurance receivables include collections equivalent to underwriting costs and claims deducted by cedants from their statements of accounts.

Reinsurance balances receivable are reviewed for any indicators of impairment as of reporting date and allowance for impairment is recognized when necessary.

A reconciliation of the allowance for impairment at the beginning and end of September 30, 2025 and December 31, 2024 is as follows.

	September 30, 2025				
	Due from ceding companies	Reinsurance recoverable on paid claims	Funds held by ceding companies	Due from reinsurers	Total
Balance at beginning of period	P148,245	P349,878	P25	P1,060	P499,208
Revaluation	(9)	(1,404)	–	–	(1,413)
Balance at end of period	P148,236	P348,474	P25	P1,060	P497,795

	December 31, 2024				
	Due from ceding companies	Reinsurance recoverable on paid claims	Funds held by ceding companies	Due from reinsurers	Total
Balance at beginning of year	P151,918	P382,782	P25	P1,060	P535,785
Reversals	(3,677)	(36,344)	—	—	(40,021)
Revaluation	4	3,440	—	—	3,444
Balance at end of year	P148,245	P349,878	P25	P1,060	P499,208

The fair value of these short-term financial assets is not individually determined as the carrying amount is considered a reasonable approximation of their fair value.

6. HELD-FOR-TRADING SECURITIES

This account is composed of the following:

	September 30, 2025	December 31, 2024
UITF	P486,521	P216,358
Equity securities	312,488	231,600
Forward assets	56,240	—
	P855,249	P447,958

UITF is a collective investment scheme, wherein funds of investors are pooled together. Subscription and/or redemption to these UITFs are reflected through units of participation. This is managed by a professional fund manager and is invested in various underlying instruments, such as time deposits and government securities.

Equity securities consist mainly of investment in companies listed in the PSE.

Forward assets pertain to the balances receivable from forward contracts entered into by the Company. Outstanding forward contracts as at September 30, 2025 and December 31, 2024 are as follows:

September 30, 2025

<i>in thousands</i>			
Transaction date	Settlement date	Receivable	Payable
July 1, 2025	October 2, 2025	PHP 56,240	\$1,000
August 5, 2025	October 7, 2025	INR 160,000	\$1,817
August 5, 2025	October 9, 2025	CNY 8,500	\$1,197
August 6, 2025	October 6, 2025	INR 140,000	\$1,593
August 6, 2025	October 14, 2025	CNY 7,000	\$985
August 19, 2025	December 22, 2025	PHP 57,250	\$1,000
September 1, 2025	December 22, 2025	PHP 28,675	\$500
September 8, 2025	December 22, 2025	PHP 56,860	\$1,000
September 11, 2025	December 22, 2025	PHP 28,676	\$500
September 24, 2025	December 22, 2025	PHP 28,763	\$500

December 31, 2024

<i>in thousands</i>			
Transaction date	Settlement date	Receivable	Payable
December 9, 2024	March 28, 2025	INR170,200	\$2,000

As at September 30, 2025 and December 31, 2024, the Company recognized forward asset and liability as follows:

	September 30, 2025	December 31, 2024
Forward asset	P56,240	P–
Forward liability	64,438	207

The net fair value gains or losses on forward contracts amounted to loss of P11.25 million and gain of P2.65 million in 2025 and 2024, respectively. This is recognized under Investment and other income and expenses – net in statements of income (see Note 20).

The details of the HFT securities are as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P447,958	P532,670
Acquisitions	2,748,784	3,251,907
Disposals	(2,383,251)	(3,344,267)
Changes in fair value	35,173	6,780
Unrealized foreign currency gains	6,585	868
Balance at end of period	P855,249	P447,958

Dividend income earned from equities classified as HFT securities amounted to P8.26 million and P5.18 million in 2025 and 2024, respectively (see Note 20).

7. AVAILABLE-FOR-SALE FINANCIAL ASSETS

This account is composed of the following:

	September 30, 2025	December 31, 2024
Debt securities	P5,480,217	P4,795,729
Equity securities - net	177,288	443,229
Investment in ARC shares	42,636	40,783
	P5,700,141	P5,279,741

Debt securities include investments in corporate bonds and government securities.

Debt securities earn interest at annual rates ranging from 1.38% to 8.63% in 2025 and 2024. Interest income amounting to P217.97 million in 2025 and P185.82 million in 2024 is presented as part of Investment and other income and expenses – net account in the statements of income (see Note 20).

The following presents the fair value of debt securities by contractual maturity dates:

	September 30, 2025	December 31, 2024
Due within one year	P513,750	P73,644
Due after one year through five years	4,320,155	3,819,270
Due after five years through ten years	630,015	897,635
Due after ten years	16,297	5,180
	P5,480,217	P4,795,729

The balance of equity securities classified as AFS financial assets consists of:

	September 30, 2025	December 31, 2024
Cost:		
Quoted in the stock exchange	P168,571	P384,153
Not quoted in the stock exchange	10,834	10,834
	179,405	394,987
Unrealized foreign currency gains	1,958	1,912
Fair value gains:		
Quoted in the stock exchange	(5,781)	46,174
Not quoted in the stock exchange	1,706	156
	(4,075)	46,330
	P177,288	P443,229

Equity securities consist mainly of investment in companies listed in the PSE.

Dividend income from these equity securities amounting to P12.27 million in 2025 and P15.37 million in 2024 is presented under the Investment and other income and expenses – net account in the statements of income (see Note 20).

The shares of ARC have been issued in the name of the Government of the Philippines (GoP) as the Philippine government's participation in the joint undertaking of Asian countries to organize a reinsurance company that will service the needs of the region. The GoP assigned such shares, including any interest accruing thereon, to the Company.

The GoP designated the Company as the national institution authorized to subscribe and pay for the said shares of stock. The shares of stock of ARC, while not for sale, were classified under this category since these do not qualify for inclusion in any other categories of financial assets. The fair value of investment in ARC shares amounted to P42.64 million and P40.78 million as at September 30, 2025 and December 31, 2024, respectively.

The reconciliation of the carrying amount of AFS financial assets is as follows:

	<i>Notes</i>	September 30, 2025	December 31, 2024
Cost			
Balance at beginning of period		P5,248,772	P5,318,019
Acquisitions		2,096,889	2,144,331
Disposals/maturities		(1,679,676)	(2,216,194)
Impairment losses	3	–	(22,222)
Unrealized foreign currency (losses) gains		(3,429)	24,838
		5,662,556	5,248,772
Fair value adjustment			
Balance at beginning of period		30,969	(17,797)
Changes in fair value		34,985	2,553
Fair value (gains) losses on disposal	20	(28,369)	23,991
Impairment losses	3	–	22,222
		37,585	30,969
Balance at end of period		P5,700,141	P5,279,741

Fair value gains recognized in the statements of comprehensive income amounted to P34.99 million in 2025 and P116.60 million in 2024.

In 2017 and 2018, the Company reclassified certain investments classified under AFS financial assets to HTM securities amounting to P1.56 billion (see Note 8) and to Other assets amounting to P0.88 million.

The Company sold AFS financial assets with carrying amount of P1.68 billion and P1.92 billion for the nine (9) months ended September 30, 2025 and 2024, respectively.

Accordingly, the Company recognized gain on sale of AFS financial assets amounting to P28.37 million in 2025 and loss on sale of AFS financial assets amounting to P22.55 million in 2024. These are presented as part of Investment and other income and expenses – net account in the statements of income (see Note 20).

Fair value gains of P28.37 million in 2025 and fair value losses of P22.55 million in 2024, as presented in the statements of comprehensive income, were reclassified to profit or loss. (see Note 20).

The fair value of majority of the AFS financial assets has been determined directly by reference to published prices in active market (see Note 29.2).

8. HELD-TO-MATURITY SECURITIES

The following presents the carrying value of corporate bonds and government securities by contractual maturity dates:

	September 30, 2025	December 31, 2024
Due within one year	P417,222	P988,028
Due after one year through five years	1,581,976	1,482,905
Due after five years through ten years	1,660,254	1,306,109
More than ten years	294,783	247,457
	P3,954,235	P4,024,499

The reconciliation of the carrying amount of HTM securities is as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P4,024,499	P3,912,145
Additions	915,089	670,413
Maturities	(990,128)	(571,528)
Amortization	3,353	5,539
Unrealized foreign currency gains	1,422	7,930
Balance at end of period	P3,954,235	P4,024,499

In May 2017, the Company's Board of Directors (BOD) approved the reclassification of certain investment in corporate bonds amounting to P1.09 billion previously classified as AFS financial assets to HTM securities due to change in intention to collecting interest coupons until maturity. New effective interest rates at the date of reclassification range from 2.36% to 6.24%.

In September 2018, the Company's BOD approved the reclassification of certain government securities from AFS financial assets to HTM securities amounting to P473.13 million with face value of P562.50 million (see Note 7). These are earmarked as security for the benefit of cedants and creditors of the Company in accordance with the provisions of the Insurance Code. The new effective interest rate at the date of reclassification is 7.13%. These securities matured on September 9, 2025.

As at September 30, 2025 and December 31, 2024, the fair value of the reclassified debt securities amounted to nil and P0.58 billion, respectively. The unamortized fair value gains that would have been recognized in other comprehensive income if the AFS financial assets had not been reclassified amounted to nil and P2.83 million for the periods ended September 30, 2025 and December 31, 2024, respectively.

The carrying amount of the reclassified debt securities amounted to nil and P0.58 billion as at September 30, 2025 and December 31, 2024, respectively.

In 2025 and 2024, the Company recognized interest income on HTM securities amounting to P163.33 million and P149.39 million, respectively (see Note 20).

9. LOANS AND RECEIVABLES

This account is comprised of the following:

	September 30, 2025	December 31, 2024
Current:		
Loans and notes receivable	P10,784	P21,881
Dividend and interest receivable	97,053	99,119
	107,837	121,000
Non-current:		
Loans and notes receivable	4,216	6,614
	P112,053	P127,614

Loans and notes receivable include car loans extended to certain officers as part of their benefits. These loans are collected through salary deductions for a period of five years with an annual effective interest rate of 8.00%.

Interest income on Loans and notes receivable amounting to P0.50 million in 2025 and P0.48 million in 2024, is presented as part of Investment and other income and expenses – net account in the statements of income (see Note 20).

The carrying value of these financial assets approximate their fair value as the interest rates approximate the prevailing market interest rates. No impairment loss was recorded for loans and receivables in 2025 and 2024.

10. PROPERTY AND EQUIPMENT – NET

A reconciliation of the carrying amount at the beginning and end of September 30, 2025 and December 31, 2024 of property and equipment is shown below.

Note	September 30, 2025					
	Condominium Unit	Office Improvements	Transportation Equipment	EDP Equipment	Office Furniture and Equipment	Total
Cost						
Balance at beginning of period	P101,310	P25,285	P13,175	P22,216	P11,350	P173,336
Additions	–	–	607	442	–	1,049
Balance at end of period	101,310	25,285	13,782	22,658	11,350	174,385
Accumulated Depreciation						
Balance at beginning of period	84,988	17,809	4,574	16,548	11,176	135,095
Depreciation 22	2,533	1,892	1,995	1,494	15	7,929
Balance at end of period	87,521	19,701	6,569	18,042	11,191	143,024
Net Book Value	P13,789	P5,584	P7,213	P4,616	P159	P31,361

	December 31, 2024					
	Condominium Unit	Office Improvements	Transportation Equipment	EDP Equipment	Office Furniture and Equipment	Total
Cost						
Balance at beginning of year	P101,310	P25,285	P9,781	P20,405	P11,350	P168,131
Additions	–	–	4,527	1,811	–	6,338
Disposals/retirement	–	–	(1,133)	–	–	(1,133)
Balance at end of year	101,310	25,285	13,175	22,216	11,350	173,336
Accumulated Depreciation						
Balance at beginning of year	81,611	15,287	3,458	14,460	11,151	125,967
Depreciation	3,377	2,522	2,249	2,088	25	10,261
Disposals/retirement	–	–	(1,133)	–	–	(1,133)
Balance at end of year	84,988	17,809	4,574	16,548	11,176	135,095
Net Book Value	P16,322	P7,476	P8,601	P5,668	P174	P38,241

The original cost of fully depreciated property and equipment that are still in use amounted to P25.06 million and P23.65 million as at September 30, 2025 and December 31, 2024, respectively.

ROU assets capitalized are recognized as part of EDP Equipment. As at September 30, 2025 and December 31, 2024, ROU assets and Lease liabilities amounted to P0.16 million and P0.29 million, respectively.

Depreciation associated with ROU assets amounted to P0.13 million in 2025 and 2024.

11. REINSURANCE RECOVERABLE ON REPORTED CLAIMS AND CLAIMS RESERVES – NET

The Reinsurance recoverable on reported claims and claims reserves account consists of:

	September 30, 2025	December 31, 2024
Reinsurance recoverable on reported claims	P2,007,619	P2,008,149
Reinsurance recoverable on claims reserves	934,578	839,303
Balance at end of period	P2,942,197	P2,847,452

The movement in the accounts are as follows:

	Notes	Reinsurance recoverable on reported claims	Reinsurance recoverable on claims reserves
September 30, 2025			
Balance at beginning of period		P2,170,458	P839,303
Claims reported during the period	21.1	389,564	–
Transferred to reinsurance recovered on paid claims	5, 21.1	(392,183)	–
Claims incurred but not reported, net of adjustments	21.2	–	95,275
Reclassification		2,199	–
Foreign exchange revaluation		(110)	–
		2,169,928	934,578
Allowance for impairment		(162,309)	–
Balance at end of period		P2,007,619	P934,578
December 31, 2024			
Balance at beginning of year		P2,563,832	P848,171
Claims reported during the year		293,095	–
Transferred to reinsurance recovered on paid claims	5	(681,644)	–
Claims incurred but not reported, net of adjustments		–	(8,868)
Reclassification		(5,637)	–
Foreign exchange revaluation		812	–
		2,170,458	839,303
Allowance for impairment		(162,309)	–
Balance at end of year		P2,008,149	P839,303

All of the Company's reinsurance recoverable on reported claims and claims reserves have been reviewed for indicators of impairment. Certain reinsurance recoverable on reported claims was found to be impaired and provisions have been recorded accordingly.

The movement in the allowance for impairment with respect to Reinsurance recoverable on reported claims during the period is as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P162,309	P143,589
Additions	–	18,720
Balance at end of period	P162,309	P162,309

12. DEFERRED ACQUISITION COSTS

The movements in this account are as follows:

	<i>Note</i>	September 30, 2025	December 31, 2024
Balance at beginning of period		P1,096,624	P761,412
Cost deferred during the period		686,824	1,313,370
Cost recognized during the period	21.3	(571,598)	(978,158)
Balance at end of period		P1,211,850	P1,096,624

The amortization of deferred acquisition costs for the period is presented as part of Commissions – net under Underwriting deductions in the statements of income (see Note 21.3).

13. DEFERRED REINSURANCE PREMIUMS

The movements in this account are as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P647,670	P652,736
Premiums retroceded during the period	972,818	1,525,895
Premiums amortized during the period	(963,875)	(1,530,961)
Balance at end of period	P656,613	P647,670

The movements in deferred reinsurance premiums for the period are presented as part of Movement in premium reserves – net account in the statements of income.

14. OTHER ASSETS – NET

This account is composed of the following:

	September 30, 2025	December 31, 2024
Input Value Added Tax (VAT)	P196,566	P196,606
Intangible assets - net	56,313	34,021
Receivable from BIR	53,065	53,065
Deferred creditable tax	14,767	11,984
Prepayments	14,428	15,558
Deferred withholding VAT	9,203	9,203
Prepaid income tax	3,721	–
Investment properties – net	3,705	3,705
Deposit	700	700
Security fund	644	644
Deferred input VAT	35	64
Others	138	136
	353,285	325,686
Allowance for impairment	(209,633)	(209,633)
	P143,652	P116,053

As at September 30, 2025 and December 31, 2024, there is no change in the amount of allowance for impairment with respect to the balances disclosed above.

Input VAT

The input VAT pertains to the 12% tax paid by the Company on commissions and local purchase of goods or services. The input VAT is recorded at cost. It is used to offset against output VAT due to the Bureau of Internal Revenue (BIR).

Intangible Assets

Intangible assets pertain to acquired computer software licenses used in operation and administration. The gross carrying amount and accumulated amortization of intangible assets as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025	December 31, 2024
Cost	P219,602	P197,310
Accumulated amortization	(163,289)	(163,289)
Balance at end of period	P56,313	P34,021

A reconciliation of the carrying amount at the beginning and end of September 30, 2025 and December 31, 2024 of intangible assets is shown below.

	September 30, 2025	December 31, 2024
Balance at beginning of period		
net of accumulated amortization	P34,021	P645
Additions	22,292	34,021
Amortization	—	(645)
Balance at end of period,		
net of accumulated amortization	P56,313	P34,021

Receivable from BIR

Receivable from BIR account pertains to the amount collected by the BIR on April 20, 2022 in relation to the Final Decision on Disputed Assessment (FDDA) for VAT deficiency issued for the taxable year 2016.

Prepayments

Prepayments pertain to software licenses and support maintenance costs and prepaid health and group life insurance premiums of the Company.

Prepaid income tax

Prepaid income tax pertains to the creditable withholding taxes claimed for the current period.

Investment Properties – net

Investment properties consist of land which are owned for capital appreciation. The carrying amount of investment properties as at September 30, 2025 and December 31, 2024 is P3.71 million.

The total estimated fair value based on the latest available selling price of the properties obtained by the Company amounted to P35.41 million as at September 30, 2025 and P34.25 million as at December 31, 2024 (see Note 29.4).

Security Fund

Security fund represents amount deposited with the IC, as required by the IC, and in instances of the Company becoming insolvent, can be used as payment for valid claims against the Company. The balance of the fund earns interest at rates determined by the IC annually.

Deferred Input VAT

Deferred input VAT pertains to VAT from the purchase of goods and services that are due to the suppliers as at reporting date.

15. REINSURANCE BALANCES PAYABLE

The details of this account are as follows:

	September 30, 2025	December 31, 2024
Due to retrocessionaires	P1,887,168	P2,040,010
Due to cedant	183,692	32,671
Funds held for retrocessionaires	19,332	17,166
	P2,090,192	P2,089,847

Due to retrocessionaires

Due to retrocessionaires represent unpaid premiums payable to the Company's retrocessionaires.

Funds held for retrocessionaires

Funds held for retrocessionaires represent portion of the reinsurance premium ceded to retrocessionaires, which were withheld by the Company in accordance with reinsurance agreements.

The Company's payments of these reinsurance liabilities are netted by the retrocessionaires' share in underwriting costs and claims paid.

The movements in these accounts are shown below.

	September 30, 2025			
	Due to retrocessionaires	Due to cedant	Funds held for retrocessionaires	Total
Balance at beginning of period	P2,040,010	P32,671	P17,166	P2,089,847
Retroceded premiums net of funds held during the period	966,047	—	—	966,047
Funds held during the period	—	—	6,771	6,771
Funds released during the period	4,605	—	(4,605)	—
Reclassification	(114,516)	147,490	—	32,974
Payments made during the period	(1,006,643)	—	—	(1,006,643)
Foreign exchange revaluation	(2,335)	3,531	—	1,196
Balance at end of period	P1,887,168	P183,692	P19,332	P2,090,192

	December 31, 2024			
	Due to retrocessionaires	Due to cedant	Funds held for retrocessionaires	Total
Balance at beginning of year	P2,189,380	P93,370	P18,863	P2,301,613
Retroceded premiums net of funds held during the year	1,480,744	—	—	1,480,744
Funds held during the year	—	—	45,151	45,151
Funds released during the year	38,733	—	(38,733)	—
Reclassification	9,122	(59,379)	(8,115)	(58,372)
Payments made during the year	(1,681,442)	—	—	(1,681,442)
Foreign exchange revaluation	3,473	(1,320)	—	2,153
Balance at end of year	P2,040,010	P32,671	P17,166	P2,089,847

16. ACCOUNTS PAYABLE AND ACCRUED EXPENSES

This account includes the following:

	<i>Note</i>	September 30, 2025	December 31, 2024
Accounts payable and accrued expenses		P324,034	P222,534
Deposit liability		26,938	38,631
Deferred output VAT		26,023	25,615
Defined benefit liability		20,976	8,206
Withholding taxes payable		5,265	9,562
Dividends payable	23.3	1,662	1,662
Income tax payable		—	81,674
		P404,898	P387,884

Accounts payable represent balances due to suppliers or for the purchase of goods or services. This includes accrued expenses pertaining to accruals of professional fees, outside services, utilities, uniforms, membership dues and meeting expenses and the related input VAT.

In February 13, 2020, the Company entered into an ordinary life coinsurance agreement with a ceding company for its specific in-force block of business, where it assumed a share of the gross premium in return for a proportionate share of the coverage of all benefits. An initial consideration of P211.10 million was transferred to the Company representing the statutory reserves of the underlying contracts. As the related insurance risk of the underlying contracts were not considered significant, this contract was accounted for as a Deposit liability. The statutory reserves are measured based on the assumptions consistent with the Life's valuation standards set by the IC.

Movements resulting from the remeasurement of the statutory reserves are recognized as Movement in deposit liability as reported under Investment and other income and expenses – net account (see Note 20). As at September 30, 2025 and December 31, 2024, the statutory reserves amounted to P26.94 million and P38.63 million, respectively.

Deferred output VAT pertains to VAT from the sale of goods and services that are still outstanding as at end of period. These amounts are not due for remittance to the BIR until the receivables are collected.

Income tax payable pertains to amount due by the Company as a result of taxable income in 2024 using tax rates enacted at the reporting date, after deducting the creditable withholding taxes and prepaid income taxes.

Other than the statutory reserves discussed above, the Management considers the carrying amount of accounts payable and accrued expenses recognized in the statements of financial position to be a reasonable approximation of their fair value due to their short duration.

17. CLAIMS AND CLAIMS RESERVES

Claims and claims reserves are losses due to ceding companies under reinsurance agreements inclusive of reserves for IBNR claims, loss adjustment expenses payable and MfAD as shown below.

The claims and claims reserves account consists of:

	September 30, 2025	December 31, 2024
Claims	P5,350,703	P5,637,256
Claims reserves	5,018,404	4,195,145
Balance at end of period	P10,369,107	P9,832,401

September 30, 2025	Notes	Claims	Claims reserves
Balance at beginning of period		P5,637,256	P4,195,145
Claims incurred during the period – net	21.1	1,419,780	–
Claims incurred but not reported, net of adjustments	21.2	–	823,259
Reclassification		(147,394)	–
Claims paid during the period	21.1	(1,541,105)	–
Foreign exchange revaluation		(17,834)	–
Balance at end of period		P5,350,703	P5,018,404

December 31, 2024	Claims	Claims reserves
Balance at beginning of year	P4,715,341	P4,014,228
Claims incurred during the year – net	3,531,095	–
Claims incurred but not reported, net of adjustments	–	180,917
Reclassification	116,080	–
Claims paid during the year	(2,752,859)	–
Foreign exchange revaluation	27,599	–
Balance at end of year	P5,637,256	P4,195,145

18. PREMIUM RESERVES

The movements in Premium reserves are as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P1,860,645	P2,222,665
Premiums written during the period	4,457,007	6,024,461
Premiums earned during the period	(3,970,741)	(6,386,481)
Balance at end of period	P2,346,911	P1,860,645

The movements in premium reserves for the period are presented as part of Movement in premium reserves – net account in the statements of income.

19. DEFERRED REINSURANCE COMMISSIONS

The movements in Deferred reinsurance commissions are as follows:

	<i>Note</i>	September 30, 2025	December 31, 2024
Balance at beginning of period		P2,321	P3,491
Income deferred during the period		23,131	20,967
Income recognized during the period	21.3	(16,714)	(22,137)
Balance at end of period		P8,738	P2,321

The amortization of deferred reinsurance commissions for the period is presented as part of Commissions – net under Underwriting deductions in the statements of income (see Note 21.3).

20. INVESTMENT AND OTHER INCOME AND EXPENSES – NET

The details of this account are as follows:

	<i>Notes</i>	September 30, 2025	September 30, 2024
Interest income:			
Cash and cash equivalents	4	P12,999	P14,589
AFS financial assets	7	217,965	185,816
HTM securities	8	163,332	149,387
Other investments		–	7,551
Loans and receivables	9	503	484
Others		1,059	499
Fair value gains on HFT securities		55,246	65,665
Gain (loss) on sale of AFS financial assets	7	28,369	(22,552)
Dividend income	6, 7	20,531	20,546
Fair value (losses) gains from forward contract	6	(11,247)	2,654
Foreign currency losses		(3,240)	(37,542)
Movement in deposit liability	16	(573)	(1,551)
Other charges		(9,376)	(5,561)
		P475,568	P379,985

21. UNDERWRITING DEDUCTIONS

The Claims and claims reserves – net account consists of:

	<i>Notes</i>	September 30, 2025	September 30, 2024
Change in reported claims – net	21.1	P1,030,216	P1,730,390
Change in claims reserves – net	21.2	727,984	293,380
		P1,758,200	P2,023,770

21.1 Change in Reported Claims – Net

	<i>Notes</i>	September 30, 2025	September 30, 2024
Gross claims paid	17	P1,541,105	P1,906,882
Retrocessionaires' share in claims paid	5, 11	(392,183)	(501,502)
Gross change in provision for claims reported	17	(121,325)	(22,518)
Retrocessionaires' share in change in provision for claims reported	11	2,619	347,528
		P1,030,216	P1,730,390

21.2 Change in Claims Reserves – Net

	<i>Notes</i>	September 30, 2025	September 30, 2024
Gross change in provision for IBNR	17	P823,259	P516,895
Retrocessionaires' share in change in provision for IBNR	11	(95,275)	(223,515)
		P727,984	P293,380

21.3 Commissions – Net

This account consists of the following:

	<i>Notes</i>	September 30, 2025	September 30, 2024
Commission expense	12	P571,598	P608,737
Commission income	19	(16,714)	(16,854)
		P554,884	P591,883

Commission expense refers to the amortized portion of the fees deducted by ceding companies from reinsurance premiums assumed under reinsurance agreements, while commission income pertains to the amortization for the period of the fees charged by the Company related to reinsurance premiums retroceded under retrocession agreements.

22. GENERAL AND ADMINISTRATIVE EXPENSES

The details of this account are as follows:

	<i>Notes</i>	September 30, 2025	September 30, 2024
Salaries and employee benefits	22.1	P193,721	P172,520
Data, licenses and subscriptions		20,922	20,236
Repairs and maintenance		17,819	13,605
Professional fees		11,446	16,730
Depreciation and amortization	10, 14	7,929	8,291
Taxes, licenses and fees		4,422	3,832
Outsourced functions		4,303	4,314
Dues and fees		3,670	3,427
Meetings, conferences and conventions		3,298	2,709
Advertising and publicity		2,366	2,297
Insurance		2,004	766
Communication and postages		1,860	1,964
Light and water		1,031	1,108
Representation and entertainment		606	581
Rentals	27.1	387	356
Printing and office supplies		303	444
Miscellaneous		7,721	11,862
		P283,808	P265,042

22.1 Salaries and Employee Benefit Expense

The details of salaries and employee benefits are presented below.

	September 30, 2025	September 30, 2024
Short-term employee benefits	P181,328	P162,042
Post-employment defined benefits	12,393	10,478
	P193,721	P172,520

Data, Licenses and Subscriptions

Data, licenses and subscriptions are the amortized portion of subscriptions paid for the use of various computer licensed software.

Professional Fees

Professional fees are the expenses charged for external services engaged such as consultancy, external audit, legal and actuarial services.

Taxes, Licenses and Fees

Taxes, licenses and fees consists of payments made for the local and national taxes, business permits and licenses.

23. EQUITY

The Company's equity is composed of the following:

	<i>Note</i>	September 30, 2025	December 31, 2024
Capital stocks		P2,181,955	P2,181,955
Additional paid-in capital		3,019,218	3,019,218
Treasury shares	23.1	(100,525)	(100,525)
Revaluation reserves		(28,224)	(45,247)
Retained earnings		2,440,091	1,809,072
		P7,512,515	P6,864,473

23.1 Capital Stock

As at September 30, 2025 and December 31, 2024, the Company has authorized shares of 3,000,000,000 and has issued and outstanding shares amounting to P2.08 billion net of treasury shares, which is divided into 2,123,605,600 shares with a par value of P1 per share.

On April 27, 2007, the Philippine Securities and Exchange Commission (SEC) approved the listing of the Company's shares totalling 741,902,600. The shares were initially issued at an offer price of P3.80 per share.

As at September 30, 2025 and December 31, 2024, there are 269 and 267 holders of the listed shares, respectively. Such listed shares closed at P0.68 and P0.69 per share as at those dates, respectively.

As at September 30, 2025 and December 31, 2024, total treasury shares amounted to P100.53 million representing 58,349,000 shares. There were no treasury stock transactions in 2025 and 2024.

23.2 Appropriation for Special Reserve

In 1989, the BOD approved the establishment of a special reserve for extraordinarily high loss occurrences or severe catastrophic losses. As such, 10% of profit is set aside as special reserve provided there is no deficit. For the periods ended September 30, 2025, and December 31, 2024, the Company appropriated nil and P55.13 million, respectively, for special reserve.

23.3 Retained Earnings

There was no declaration of cash dividends in 2025 and 2024. The total outstanding dividends payable amounted to P1.66 million as at September 30, 2025 and December 31, 2024, respectively. This is presented as Dividends payable under Accounts payable and accrued expenses account in the statements of financial position (see Note 16).

The Company's retained earnings are restricted to the extent of the cost of the treasury shares as of the end of the reporting periods.

24. RELATED PARTY TRANSACTIONS

The Company's related parties include its stockholders, related parties under common ownership, retirement plan and the Company's key management personnel with which the Company had transactions as described below and in the succeeding pages.

24.1 Reinsurance Contracts with Related Parties

The Company accepts and cedes insurance business under various reinsurance contracts with related parties. The details of which are presented as follows:

	September 30, 2025		September 30, 2024	
		Related Parties Under Common Ownership		Related Parties Under Common Ownership
	Stockholders		Stockholders	
Premiums	P–	P162,107	P–	P176,323
Commission expense	–	7,564	–	11,124
Claims incurred (reversal)	4,234	(18,069)	(5,705)	11,429
Claims recoveries (reversal)	2	–	(3,139)	–

The outstanding balance of the Reinsurance balances receivable from and payable to related parties as at September 30, 2025 and December 31, 2024 are presented as follows:

	September 30, 2025		December 31, 2024	
		Related Parties Under Common Ownership		Related Parties Under Common Ownership
	Stockholders		Stockholders	
Due from ceding companies	P–	P226,947	P–	P152,726
Funds held by ceding companies	–	6,998	–	–
Funds held for retrocessionaires	1	–	1	–
Reinsurance recoverable on reported claims	1,996	–	1,995	–
Claims	150,970	648,448	149,146	685,657
Due to retrocessionaires	4	13,647	55	12,375

The balances discussed above are non-interest bearing, unsecured and is common for all reinsurance agreements regardless of whether the counterparties are related or unrelated to the Company. Premiums receivable, premiums payable and the related commission income/expense are expected to be settled in cash in accordance with the underlying reinsurance contracts. Claims and claim recoverable are expected to be settled in cash when the insured/reinsured party has fully substantiated the underlying claim. The allowance for impairment recognized under Due from ceding companies amounted to P65.57 million and P65.60 million as at September 30, 2025 and December 31, 2024, respectively.

The reversed allowance for impairment from related parties under Reinsurance recoverable on paid claims amounted to nil and P1.96 million as at September 30, 2025 and December 31, 2024, respectively.

24.2 Other Transactions

The Company's other transactions with related parties are presented as follows:

		September 30, 2025		December 31, 2024	
		Amount of Transactions	Outstanding Balance	Amount of Transactions	Outstanding Balance
Stockholder:					
Cash and cash equivalents	(a)	(P3,189)	P15,159	P8,779	P18,348
HFT securities	(b)	7,787	48,922	(45,968)	41,135
AFS financial assets	(b)	(27,749)	7,195	10,049	34,944
Interest income – cash and cash equivalents	(a)	12	–	308	–
Dividend income – HFT securities	(b)	260	–	594	–
Dividend income – AFS financial assets	(b)	217	–	1,095	–
Other expenses	(c)	59	–	149	–
Related Party Under Common Ownership:					
Cash and cash equivalents	(a)	308,811	665,569	152,255	356,758
HFT securities	(b)	9,541	68,327	51,128	58,786
AFS financial assets	(b)	(21,587)	45,490	28,148	67,077
HTM securities	(b)	(136,025)	421,491	68,046	557,516
Other investments	(a)	–	–	(182,814)	–
Forward liability	(b)	–	–	(92,852)	–
Interest income – cash and cash equivalents	(a)	12,051	–	5,349	–
Interest income – bonds	(b)	17,278	–	–	–
Other expenses	(c)	5,576	–	–	–

(a) Cash and Cash Equivalents

The Company maintains several savings, time deposits and current accounts with a stockholder and related party under common ownership. Interest income recognized is presented as part of Interest income under Investment and other income and expenses – net account in the statements of income (see Note 20).

(b) Investments

The Company has investment in shares of stock with a stockholder, and fixed income securities, forward contracts, and UTF investments with related parties under common ownership classified as HFT securities, AFS financial assets, HTM securities and Forward liability. Relative to these transactions, the Company recognized dividend income, interest income, Gain (loss) on sale of AFS, Fair value gains (losses) on HFT securities, and Fair value gains (losses) from forward contract which are presented as part of Investment and other income and expenses – net account in the statements of income (see Note 20), while accrued interest on HTM securities is presented as part of Loans and receivables in the statements of financial position (see Note 9).

(c) *Investment Management and Custodianship*

The Company has entered into “Investment Management Agreement” and “Custodianship Agreement” with related parties under common ownership for the management and custodianship of certain investible funds of the Company subject to terms and conditions in the said agreements. In consideration for the services rendered, the Company pays the related parties under common ownership service fees equivalent to a certain percentage of the market value of the investments.

The total service fees paid is charged against Other charges under Investment and other income and expenses – net account in the statements of income (see Note 20).

24.3 Investment Management of Retirement Fund

The Company has existing “Retirement Fund Investment Management Agreement” with related parties under common ownership for the management of the investments of the Company’s retirement funds subject to the terms and conditions in the said agreement. The retirement fund does not hold any security issued by the Company as at September 30, 2025 and December 31, 2024.

24.4 Key Management Personnel Compensation

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including director, whether executive or otherwise, of the Company.

The compensation of key management personnel is presented as follows:

	September 30, 2025	September 30, 2024
Short-term benefits	P64,560	P59,597
Post-employment defined benefit	6,408	3,838
	P70,968	P63,435

25. SOLVENCY

Under the Amended Insurance Code, an insurance company doing business in the Philippines shall at all times maintain the minimum paid-up capital, and net worth requirements as prescribed by the Insurance Commissioner. Such solvency requirements shall be based on internationally accepted solvency frameworks and adopted only after due consultation with the insurance industry associations.

Whenever the aforementioned requirement is found to be less than the required to be maintained, the Insurance Commissioner shall direct the Company to make good any such deficiency by cash, to be contributed by all stockholders of record in proportion with their respective interests, and paid to the treasurer of the Company, within 15 days from receipt of the order. Provided, that the Company in the interim shall not be permitted to take any new risk of any kind or character unless and until it makes good any such deficiency.

In case that a stockholder pays the contribution due from another stockholder by reason of failure or refusal of the latter to do so, shall have a lien on the certificates of stock of the Company appearing in its books in the name of the defaulting stockholder on the date of default, as well as on any interests or dividends that have accrued or will accrue to the said certificates of stocks, until the corresponding payment or reimbursement is made by the defaulting stockholder.

26. EARNINGS PER SHARE

The earnings per share are presented as follows:

	September 30, 2025	September 30, 2024
Net profit available to common shareholders	P631,019	P424,723
Divided by the average number of outstanding common shares (in thousands)	2,123,606	2,123,606
	P0.297	P0.200

Diluted earnings per share is not determined since the Company does not have dilutive shares as at September 30, 2025 and 2024.

27. COMMITMENTS AND CONTINGENCIES

The following are the significant commitments and contingencies involving the Company:

27.1 Lease Commitments – Company as Lessee

The Company is a lessee under various leases covering warehouse and parking lots having a term of one year with renewal options. The future minimum rentals payable under this non-cancellable operating lease as at September 30, 2025 and December 31, 2024 is P0.26 million and P1.03 million, respectively, which is payable not later than one year.

Rental expense recognized amounted to P0.39 million and P0.36 million in 2025 and 2024, respectively, and is presented in the statements of income as Rentals under General and administrative expenses (see Note 22).

27.2 Legal Claims

The Company is currently involved in various legal proceedings. In consultation with the legal counsel, the related risk has been analyzed as to likelihood of occurrence and amount of future obligation. The Company believes that the outcome of these proceedings as at September 30, 2025 and December 31, 2024 will not have a material adverse effect on the Company's financial position.

27.3 Deficiency Tax Assessments

The Company received the FDDA for the taxable period July 1, 2012 to December 31, 2012 and taxable years 2016, 2017 and 2018. These assessments are in pursuant to which the BIR has sought to investigate the tax periods identified against the Company and consequently examine certain books, records and accounts that relate to transactions in the ordinary course of business. Pursuant to the Company's policy of addressing such actions and in line with prudent business practice, the Company has engaged tax counsel in relation to these matters.

As at September 30, 2025 and December 31, 2024, management believes that there is no probable reason that a material outflow of resources will be required, in excess of what has already been provided as provision, considering the merits of the Company's protest and the sufficiency and validity of the documents submitted to the local tax authorities to support the Company's position.

27.4 Others

In the normal course of business, the Company makes various commitments and incurs certain contingent liabilities that are not given recognition in the accompanying financial statements. Management believes that losses as at September 30, 2025 and December 31, 2024, if any, that may arise from these commitments and contingencies will not have any material effect on the financial statements.

28. CATEGORIES AND OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

28.1 Comparison of Carrying Amounts and Fair Values

The carrying amounts and fair values of the categories of financial assets and financial liabilities presented in the statements of financial position are shown below.

		September 30, 2025		December 31, 2024	
	Notes	Carrying Values	Fair Values	Carrying Values	Fair Values
Financial assets:					
Loans and receivables:					
Cash and cash equivalents	4	P723,822	P723,822	P449,739	P449,739
Reinsurance balances receivable - net	5	5,958,523	5,958,523	5,379,932	5,379,932
Loans and receivables	9	112,053	112,053	127,614	127,614
Reinsurance recoverable on reported claims and claims reserves - net	11	1,698,705	1,698,705	1,694,109	1,694,109
		P8,493,103	P8,493,103	P7,651,394	P7,651,394
HFT securities:					
UITF		P486,521	P486,521	P216,358	P216,358
Equity securities		312,488	312,488	231,600	231,600
Forward assets		56,240	56,240	—	—
	6	P855,249	P855,249	P447,958	P447,958
AFS financial assets:					
Debt securities		P5,480,217	P5,480,217	P4,795,729	P4,795,729
Equity securities – net		177,288	177,288	443,229	443,229
Investment in ARC shares		42,636	42,636	40,783	40,783
	7	P5,700,141	P5,700,141	P5,279,741	P5,279,741
HTM securities					
	8	P3,954,235	P3,961,830	P4,024,499	P3,990,349
Financial liabilities:					
Reinsurance balances payable	15	P2,090,192	P2,090,192	P2,089,847	P2,089,847
Forward liability	6	64,438	64,438	207	207
Accounts payable and other accrued expenses*	16	352,634	352,634	262,827	262,827
Claims and claims reserves	17	4,767,251	4,767,251	5,030,137	5,030,137
		P7,274,515	P7,274,515	P7,383,018	P7,383,018

*Excluding taxes payable and defined benefit liability.

Due to the short-term duration, management considers the carrying value of the Company's loans and receivables and financial liabilities at amortized cost approximate their fair value as at the end of the reporting periods.

See Notes 2.4 and 2.9 for a description of the accounting policies for each category of financial instrument including the determination of fair value.

28.2 Offsetting of Financial Assets and Financial Liabilities

For financial assets and financial liabilities, subject to enforceable master netting agreements or similar arrangements, each agreement between the Company and counterparties, including related parties, allows for net settlement of the relevant financial assets and liabilities when both elect to settle on a net basis.

29. FAIR VALUE MEASUREMENT AND DISCLOSURES

29.1 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and financial liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS Accounting Standards, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

29.2 Financial Instruments Measured at Fair Value

The table below shows the fair value hierarchy of the Company's financial assets measured at fair value in the statements of financial position on a recurring basis (amounts in thousands).

	Notes	Level 1	Level 2	Level 3	Total
September 30, 2025					
HFT securities	6	P799,009	P56,240	P—	P855,249
AFS financial assets	7	5,644,965	6,650	48,526	5,700,141
Forward liability	6	—	64,438	—	64,438
December 31, 2024					
HFT securities	6	P447,958	P—	P—	P447,958
AFS financial assets	7	5,227,968	5,100	46,673	5,279,741
Forward liability	6	—	207	—	207

The movements of the AFS financial assets classified under Level 3 in the fair value hierarchy is shown below:

	September 30, 2025	December 31, 2024
Balance at beginning of period	P46,673	P42,453
Fair value gains	1,762	2,996
Foreign currency gains	91	1,224
Balance at end of period	P48,526	P46,673

There has been no transfer between levels in 2025 and 2024.

Described below are the information about how the fair value of the Company's classes of financial assets are determined.

a) Equity securities

As at September 30, 2025 and December 31, 2024, instruments included in Level 1 comprise equity securities classified as HFT securities and AFS financial assets. These securities were valued based on their market prices quoted in the PSE at the end of each reporting period.

Golf club shares classified as AFS financial assets are included in Level 2 as their prices are not derived from market considered as active due to lack of trading activities among market participants at the end or close to the end of the reporting period. Moreover, investment in equity securities held in a private company is included in Level 3 since its market value is not quoted in an active market, hence, measured by reference to the private company's book value using the most recent available financial data. The estimated fair value will increase (decrease) if the book value increases (decreases).

b) Debt securities

The fair value of the Company's debt securities, which consist of government and corporate bonds, is estimated by reference to quoted bid price in active market at the end of the reporting period and is categorized within Level 1.

c) UITF

The fair value of the Company's UITF which is classified as money market funds and consist of units of participation on the Fund's investments in short-term fixed income instruments consisting of time deposits and government securities with tenors of less than one year is estimated by reference to the net asset value published by the fund managers and is categorized within Level 1.

d) Forward asset and liability

The fair value of the Company's forward asset and liability is estimated by reference to the foreign exchange rate published by the Bangko Sentral ng Pilipinas at the end of the reporting period and is categorized within Level 2.

29.3 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The tables below summarize the fair value hierarchy of the Company's financial assets and financial liabilities which are not measured at fair value in the statements of financial position but for which fair value is disclosed.

	<u>Notes</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
September 30, 2025					
Financial assets:					
Cash and cash equivalents	4	P723,822	P–	P–	P723,822
Reinsurance balances receivable - net	5	–	–	5,958,523	5,958,523
HTM securities	8	3,961,830	–	–	3,961,830
Loans and receivables	9	–	–	112,053	112,053
Reinsurance recoverable on reported claims and claims reserves - net	11	–	–	1,698,705	1,698,705
		P4,685,652	P–	P7,769,281	P12,454,933
Financial liabilities:					
Reinsurance balances payable	15	P–	P–	P2,090,192	P2,090,192
Accounts payable and other accrued expenses*	16	–	–	352,634	352,634
Claims and claims reserves	17	–	–	4,767,251	4,767,251
		P–	P–	P7,210,077	P7,210,077

* Excluding taxes payable and defined benefit liability

	<u>Notes</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
December 31, 2024					
Financial assets:					
Cash and cash equivalents	4	P449,739	P–	P–	P449,739
Reinsurance balances receivable - net	5	–	–	5,379,932	5,379,932
HTM securities	8	3,990,349	–	–	3,990,349
Loans and receivables	9	–	–	127,614	127,614
Reinsurance recoverable on reported claims and claims reserves - net	11	–	–	1,694,109	1,694,109
		P4,440,088	P–	P7,201,655	P11,641,743
Financial liabilities:					
Reinsurance balances payable	15	P–	P–	P2,089,847	P2,089,847
Accounts payable and other accrued expenses*	16	–	–	262,827	262,827
Claims and claims reserves	17	–	–	5,030,137	5,030,137
		P–	P–	P7,382,811	P7,382,811

* Excluding taxes payable and defined benefit liability

For financial assets other than HTM securities, management considers that the carrying amount of those short-term financial instruments approximate their fair value.

29.4 Fair Value Measurement for Non-financial Assets

The Company used market comparable approach as a valuation technique in measuring the fair value of its investment properties to arrive at fair value that is more representative of the investment properties' highest and best use. As at September 30, 2025 and December 31, 2024, the fair value of the investment properties is P35.41 million and P34.25 million, respectively, classified under Level 3 of the fair value hierarchy (see Note 14). The most significant input into this valuation approach is the price per square meter, hence, the higher the price per square meter, the higher the fair value.

30. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Company's capital management objectives are (a) to ensure the Company's ability to continue as a going concern; and (b) to provide an adequate return to shareholders by complying with the capital requirements and limitation enforced by the IC and by aligning the Company's operational strategy to its corporate goals. The capital requirements and limitations are as follows:

30.1 Minimum Capitalization

Under Section 289 of the Republic Act (RA) No. 10607 (The New Insurance Code), any partnership, association, or corporation authorized to transact solely reinsurance business must have a capitalization of at least P3,000,000,000 paid in cash of which at least 50% is paid-up capital and the remaining portion thereof is contributed surplus, which in no case shall be less than P400,000,000 or such capitalization as may be determined by the Secretary of Finance, upon the recommendation of the Insurance Commissioner.

As at September 30, 2025 and December 31, 2024, the Company has complied with the minimum capital requirements.

30.2 Risk-Based Capital Requirements

As per IC CL No. 2016-68, Amended Risk-Based Capital (RBC2) Framework, all insurance companies must satisfy the annual minimum statutory RBC Ratio set at 100%. RBC ratio is computed by dividing the Company's Total Available Capital (TAC) by the RBC requirement. TAC is the aggregate of Tier 1 and Tier 2, minus deductions, subject to applicable limits and determinations. Tier 1 capital represents capital that is fully available to cover losses of the insurer at all times on a going-concern and winding up basis and is considered to be the highest quality capital available to the insurer. Tier 2 refers to capital not having the same high quality characteristics of Tier 1, but can provide additional buffer to the insurer. RBC requirement or the total required capital of an insurance company is the capital that is required to be held appropriately to the risks an insurance company is exposed to.

As at September 30, 2025 and December 31, 2024, the Company has complied with the risk-based capital requirements.

30.3 Limitation on Dividend Declaration

The Company's BOD is authorized to declare dividends. A cash dividend declaration does not require any further approval from the stockholders. However, a stock dividend declaration requires further approval of the stockholders holding or representing not less than two-thirds of the Company's outstanding capital stock. Dividends may be declared and paid out of the unrestricted retained earnings which shall be payable in cash, property, or stock to all stockholders on the basis of outstanding stock held by them, as and at such times as the BOD may determine and in accordance with law.

The Insurance Commission, under Circular Letter No. 2021-02, dated January 7, 2021, provides that all regulated entities authorized to do business in the Philippines shall meet the following regulatory measures at all times, without regulatory relief, and which shall be duly attested by the President and Treasurer of the company, before declaration and/or distribution of dividends out of the unrestricted retained earnings:

- unimpaired paid-up capital stock;
- the net worth requirements as prescribed by Circular Letter (CL) No. 2015- 02-A and Section 194 of the Amended Insurance Code;
- the solvency requirements defined by Section 200 of the Amended Insurance Code;
- in the case of life insurance companies, the legal reserve fund required by Section 217;
- in the case of corporations other than life, the legal reserve fund required by Section 219; and
- a sum sufficient to pay all net losses reported, or in the course of settlement, and all liabilities for expenses and taxes.

The Company is required to report such dividend declaration or distribution to the IC within 30 days from the date of such declaration.

The SEC, through its Memorandum Circular 16 dated September 19, 2023, has set the revised guidelines in determining the appropriate amount of Retained Earnings available for dividend distribution. Based on the circular, dividends shall be declared out of unrestricted retained earnings of the corporation. Accordingly, a corporation cannot declare dividends when it has zero or negative retained earnings otherwise known as Retained Earnings Deficit. For such purpose, the surplus profits or income must be a bona fide income founded upon actual earnings or profits. The existence, therefore, of surplus profits arising from the operation of corporate business is a condition precedent to the declaration of dividends.

The phrase "actual earnings or profits" shall be the net income for the year based on the audited financial statements, adjusted for the following unrealized items:

- Equity in net income of associate/ joint venture, net of dividends declared;
- Unrealized foreign exchange gain, except those attributable to cash and cash equivalents;
- Unrealized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVTPL);
- Unrealized fair value gain of investment property;
- Deferred tax asset; and other unrealized gains and adjustments that the SEC may prescribe.

31. SELECTED FINANCIAL PERFORMANCE INDICATORS

The following basic ratios measure the financial performance of the Company:

	September 30, 2025	December 31, 2024
Asset-to-equity	3.03 : 1.00	3.06 : 1.00
Liability-to-equity	2.03 : 1.00	2.06 : 1.00

32. OTHER SEC REQUIREMENTS

The following information, as a minimum, should be disclosed in the notes to financial statements, if material and if not disclosed elsewhere in the interim financial report:

• Explanatory comments about the seasonality or cyclical nature of interim operations	• Nothing to report.
• The nature and amount of items affecting assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size, or incidents	• Nothing to report.
• The nature and amount of changes in estimates of amounts reported in prior interim years of the current fiscal year or changes in estimates of amounts reported prior financial years, if those changes have a material effect in the current interim year	• Refer to Note 3 for the development of claims liabilities.
• Issuances, repurchases, and repayments of debt and equity securities	• Nothing to report.
• Dividends paid (aggregate or per share) separately for ordinary shares and other shares	• Nothing to report.
• Segment revenue and segment result for business segments or geographical segments, whichever is the issuer's primary basis of segment reporting. (This shall be provided only if the issuer is required to disclose segment information in its annual financial statements)	• Nothing to report.
• Material events subsequent to the end of the interim year that have not been reflected in the financial statements for the interim year	• Nothing to report.
• The effect of changes in the composition of the issuer during the interim year, including business combinations, acquisitions or disposal of subsidiaries and long-term investments, restructurings, and discontinuing operations	• Nothing to report.
• Changes in contingent liabilities or contingent assets since the last annual balance sheet date	• Nothing to report.

• Existence of material contingencies and any other events or transactions that are material to an understanding of the current interim year.	• Nothing to report.
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AGING OF REINSURANCE BALANCES RECEIVABLE

As at September 30, 2025

(In million pesos)

	Total	Below 360 days	Over 360 days	Not due
Due from ceding companies	P5,815	P489	P142	P5,184
Reinsurance recoverable on paid claims	399	34	365	–
Funds held by ceding companies	241	–	–	241
Due from reinsurers	1	–	1	–
	6,456	P523	P508	P5,425
Allowance for impairment*	(498)			
	<u>P5,958</u>			

*The Company's policy on providing allowance for impairment is primarily based on specific identification of accounts, which are deemed uncollectible after taking into consideration the result of collection efforts, age of receivables and company status or perceived degree of financial capacity.